LOAN AGREEMENT

DATED AS OF JANUARY 1, 2008

AMONG

NORTH SHORE ICE ARENA, LLC,

WILMETTE HOCKEY ASSOCIATION, INC.,

WINNETKA HOCKEY CLUB, INC.

AND

ILLINOIS FINANCE AUTHORITY

The rights of the Illinois Finance Authority hereunder have been assigned to Amalgamated Bank of Chicago, as Trustee under a Trust Indenture dated as of January 1, 2008 from the Illinois Finance Authority securing $8,490,000 of its Sports Facility Revenue Bonds (North Shore Ice Arena Project), Series 2008.

LOAN AGREEMENT

TABLE OF CONTENTS

(This Table of Contents is not a part of this Loan Agreement and is only for convenience of reference)

SECTION

ARTICLE I DEFINITIONS

HEADING

Representations by the Authority.

ARTICLE II REPRESENTATIONS.

Section 2.1.

Section 2.2.

Section 2.3.

Representations and Warranties by the Borrower.

PAGE

..... 2

7

7

8

Representations, Warranties and Covenants by the Guarantors..... 11

ARTICLE III DOCUMENTS..

13

Section 3.1.

Documents.

13

Section 3.2.

Annual Certificate.

14

Section 3.3.

Opinion re: Permitted Encumbrances.

14

Section 3.4.

Section 3.5.

Changes in or Amendments to Project Documents.

Enforcement of Contract and Surety Bonds.

14

15

16

ARTICLE IV COMPLETION OF THE PROJECT

Section 4.1.
Agreement to Complete the Project; Agreement to Equip the Project.....
16

Section 4.2.

Section 4.3.

Section 4.4.
No Warranty by the Authority with respect to the Project.....

Operation of the Project Fund; Completion Certificate.
16

17

No Warranty by the Authority as to Sufficiency of Funds.
17

ARTICLE V INVESTMENT OF FUNDS...

Section 5.1. Investment of Funds; Arbitrage; Tax Exemption Agreement.....

ARTICLE VI ISSUANCE OF BONDS OF THE AUTHORITY.
17

17

18

Section 6.1.

Section 6.2.

Section 6.3.
Proceeds of Bonds.....

Payment of Bonds.

Right of Trustee to Enforce this Loan Agreement.
.18

18

19

ARTICLE VII OBLIGATION PAYMENTS; FUND DEPOSITS; PREPAYMENTS AND OTHER PAYMENT.
19

Section 7.1.

Section 7.2.

Payment of Loan; Payments under Tax Exemption Agreement..... 19

Deposit of Net Revenues in Revenue Fund.....

19

20

20

20

21

21

Section 7.3.

Deposit to Optional Redemption Fund for Compliance with Maturity Limitation...

20

Section 7.4.

Prepayment Generally.

.20

Section 7.5.

Notice of Prepayment.

2 2

Section 7.6.

Effect of Partial Prepayment..

Section 7.7.

Additional Payments.

Section 7.8.

Borrower's Obligations Unconditional.

Section 7.9.

Exchange of

Bonds.

ARTICLE VIII COVENANTS RELATING TO THE USE AND OPERATION OF

THE BORROWER'S PROPERTY..

Section 8.1.
Use of the Borrower's Property..

Section 8.2.
Rates and Charges..

Section 8.3.
Debt Service Coverage Ratio.....
23

2 2 2 2

22

22

Section 9.1.
ARTICLE IX PARTICULAR COVENANTS OF THE BORROWER AND THE GUARANTORS.....

Maintenance of Corporate Existence and Status.
24

Section 9.2.

Section 9.3.
Consent to Assignment of Loan Agreement Rights.

Maintenance; Recording.
24
24

2 2 20

24

Section 9.4.
Financial Statements, Etc.....
25

Section 9.5.
Transfer of Bond Financed Property..
26

Section 9.6.
Discharge of Orders, Etc....
26

Section 9.7. Merger, Dissolution and Disposition of Property. 27

Section 9.8. Taxes, Charges and Assessments.. 28

Section 9.9. Compliance with Orders, Ordinances, Etc..... 29

Section 9.10. Permitted Contests..... 29

Section 9.11. Continuing Disclosure Requirements. 29

Section 9.12. Insurance and Annual Certificate..... 30

Section 9.13. Reports on Employment at the Project. 30

Section 9.14. Nature of Project and Public Purpose. 30

Section 9.15. Indemnification of Authority and Trustee. 31

Section 9.16. Damage or Destruction. 33

Section 9.17.

Section 9.18.

Section 9.19. Condemnation.

Other Provisions with Respect to Net Proceeds.

Permitted Additional Indebtedness.. 34

35

36

Section 9.20. Sale, Lease, Transfer or Other Disposition of Property. 36

Section 9.21. Liens on Property.. ...37

Section 9.22. Further Assurances; Additional Property.. 37

Section 9.23. ERISA.. 38

Section 9.24. Application of Certain Gifts.. 38

Section 9.25, Notice Regarding Bankruptcy Petitions, Events of Default or Potential Default. 39

Section 9.26. Lease to Qualified Tenants. 39

ARTICLE X EVENTS OF DEFAULT AND REMEDIES THEREFOR..... 39

Section 10.1. Events of Default. 39

Section 10.2. Application of Proceeds of Remedies. 41

Section 10.3.
Remedies Cumulative..
42

Section 10.4.
Delay or Omission Not a Waiver..
42

Section 10.5.
Waiver of Stay, Extension, Valuation and Appraisement and Laws.....
42

Section 10.6.
Remedies Subject to Provisions of Law.
43

Section 10.7.
Default by Authority Limited Liability.
43

Section 10.8.
43
No Recourse to Authority.

ARTICLE XI SUPPLEMENTS AND AMENDMENTS TO THIS LOAN AGREEMENT ...

Section 11.1. Supplements and Amendments to this Loan Agreement.

ARTICLE XII DEFEASANCE
44
.44
44

Section 12.1.
Defeasance.
44

ARTICLE XIII MISCELLANEOUS PROVISIONS.
44

Section 13.1.
Payment of Expenses of Issuance of Bonds.
44

Section 13.2.
Loan Agreement for Benefit of Parties Hereto.
44

Section 13.3.

Severability. 45

Section 13.4. Notices. 45

Section 13.5. Successors and Assigns... 45

Section 13.6. Counterparts . 46

Section 13.7. Governing Law. 46

Section 13.8. Immunity of Officers, Employees and Members of the Authority and the Borrower..... 46

Exhibit A- Permitted Encumbrances

This is a LOAN AGREEMENT dated as of January 1, 2008 (herein referred to sometimes as the "Loan Agreement") among NORTH SHORE ICE ARENA, LLC, an Illinois limited liability company (the "Borrower"), WILMETTE HOCKEY ASSOCIATION, INC., an Illinois non-profit corporation ("Wilmette Hockey Association"), WINNETKA HOCKEY CLUB, INC., an Illinois non- profit corporation ("Winnetka Hockey Club" and together with Wilmette Hockey Association, the "Guarantors"), and the ILLINOIS FINANCE AUTHORITY (the "Authority"), a body politic and corporate created and existing under and by virtue of the Illinois Finance Authority Act, as amended (the "Act").

PRELIMINARY STATEMENT

Reference is hereby made to the Trust Indenture dated as of January 1, 2008 (the "Trust Indenture"), between the Authority and Amalgamated Bank of Chicago, as trustee (the "Trustee"), for definitions of various terms used herein.

The Borrower desires to (i) finance or reimburse a portion of the costs of the acquisition, construction, renovation, remodeling and equipping of an "industrial project" as such term is defined in the Act, (ii) establish a Debt Service Reserve Fund for the Bonds (as hereinafter defined),

(iii) pay a portion *of* the interest accruing on the Bonds, and **(iv)** pay certain expenses incurred in connection with the issuance of the Bonds, all as permitted under the Act. In order to accomplish the foregoing, the Borrower is borrowing funds from the Authority in the principal amount of $8,490,000.

Pursuant to the Act, the Authority is obtaining funds for such loan to the Borrower through the issuance and sale of its Sports Facility Revenue Bonds (North Shore Ice Arena Project), Series 2008, in the aggregate principal amount of $8,490,000 (the "Bonds"), which Bonds will be issued under and secured by the Trust Indenture. Pursuant to the Trust Indenture, the Authority will pledge and assign its rights under this Loan Agreement (excluding Unassigned Rights) as security for the Bonds. The Bonds, together with the interest thereon, will be payable solely from amounts payable under the Loan Agreement and from certain funds and accounts pledged to the Trustee under the Trust Indenture.

The Borrower desires to secure its obligations by executing and delivering this Loan Agreement and has taken all actions necessary thereto.

GRANTING CLAUSES

In consideration of the premises and other good and lawful consideration, the receipt of which is hereby acknowledged, and to secure the payment of the Loan and the performance and observance of all of the covenants and conditions herein contained, the Borrower has executed and delivered this Loan Agreement and has conveyed, mortgaged, granted, assigned, transferred, pledged, set over and confirmed and granted a security interest in and by these presents does hereby convey, mortgage, grant, assign, transfer, pledge, set over and confirm and grant a security interest in, unto the Authority, its successor or successors and its or their assigns forever, with power of sale, all and singular the property, real and personal, hereinafter described (said property being herein sometimes referred to as the "Pledged Property") to wit:

Any and all property of every kind and nature from time to time hereafter, by delivery or by writing of any kind, conveyed, pledged, assigned or transferred as and for additional security hereunder by the Borrower or by anyone on its behalf to **the** Authority or the Trustee;

TO HAVE AND TO HOLD, all and singular, the properties, rights and privileges hereby conveyed, assigned and pledged by the Borrower or intended so to be, unto the Authority and its successors and assigns forever;

PROVIDED, NEVERTHELESS, and these presents are upon the express condition, that if the Borrower or its successors or assigns shall well and truly pay or cause to be paid the principal of all indebtedness secured hereby, according to the provisions set forth herein or shall provide for the payment or redemption of such indebtedness as herein provided, and shall also pay or cause to be paid all other

sums payable hereunder by the Borrower, then these presents and the estate and rights hereby granted shall cease, determine and become void; otherwise this Loan Agreement shall be and remain in full force.

In consideration of the premises, the respective representations and agreements contained herein, the loan of the proceeds of the Bonds by the Authority to the Borrower and for other good and valuable consideration, the receipt whereof is hereby acknowledged, and in order to secure the payment of the Loan and under this Loan Agreement and the performance of all the other covenants of the Borrower contained herein, the parties hereto agree as follows:

ARTICLE I

DEFINITIONS

In addition to the words and terms used in this Loan Agreement or in the Trust Indenture, the following words and terms shall have the following meanings unless the context or use indicates another or different meaning or intent:

"*Authorized Borrower Representative"* means the person authorized by the Borrower to act on behalf of the Borrower.

"Board" means the Board of Managers of the Borrower.

"Bond Financed Property" means all real and personal property to be financed or refinanced, or for the financing of which the Borrower or Wilmette Hockey Association are to be reimbursed, in whole or in part, whether directly or indirectly, out of the proceeds of the Series 2008 Bonds, including earnings thereon.

"Book Value," when used with respect to property, means the value of such property, net of accumulated depreciation and amortization, as reflected in the most recent audited financial statements of the Borrower which have been prepared in accordance with generally accepted accounting principles.

"Capitalized Interest" means amounts irrevocably deposited in escrow to pay interest on Funded Indebtedness or obligations secured by such Funded Indebtedness and interest earned on

amounts irrevocably deposited in escrow to the extent such interest earned is required to be applied to pay interest on such Funded Indebtedness or such obligations.

"Capitalized Lease" means any lease of real or personal property which, in accordance with generally accepted accounting principles, is required to be capitalized on the balance sheet

of the Borrower.

"Capitalized Rentals" means, as of the date of determination, the amount at which the aggregate Net Rentals due and to become due under a Capitalized Lease would be reflected as a liability on the balance sheet of the Borrower.

"Collateral Assignment of Construction Documents" means the Collateral Assignment of Construction Documents assigning the Borrower's rights to the architect's agreement, the Plans and Specifications and the construction contract relating to the Project to the Trustee for the benefit of the Bondholders.

"Debt Service *Requirements"* means, with respect to the period of time for which calculated, the aggregate of the payments required to be made during such period in respect of principal (whether at maturity, as a result of mandatory sinking fund redemption, mandatory prepayment or otherwise) and interest on outstanding Funded Indebtedness; provided that (a) interest shall be excluded from the determination of the Debt Service Requirements to the extent that Capitalized Interest is available to pay such interest; and (b) principal of Indebtedness shall be excluded from the determination of Debt Service Requirements to the extent that amounts are on deposit in an irrevocable escrow and such amounts (including, where appropriate, the earnings or other increment to accrue thereon) are required to be applied to pay such principal and such amounts so required to be applied are sufficient to pay such principal.

"Expenses" means, for any period, the aggregate of all expenses of the Borrower calculated under generally accepted accounting principles, including without limitation any taxes, minus (i) interest on Funded Indebtedness, (ii) depreciation and amortization, (iii) extraordinary expenses (including without limitation losses on the sale of assets other than in the ordinary course of business and losses on the extinguishment of debt), (iv) losses resulting from any reappraisal, revaluation or write-down of assets; and (v) any unrealized losses on the valuation of investment securities.

"*Fiscal Year*" means the fiscal year of the Borrower.

"Funded Indebtedness" means (i) all Indebtedness of the Borrower and the Guarantors for money borrowed or credit extended which is not short-term; (ii) all Indebtedness of the Borrower incurred or assumed in connection with the acquisition or construction of property which is not short-term; and (iii) Capitalized Rentals under Capitalized Leases; provided, however, that Indebtedness that could be described by more than one of the foregoing categories shall not in any case be considered more than once for the purpose of any calculation made pursuant to this Loan Agreement.

hereof.

"*Income Available* for Debt *Service*" shall have the meaning set forth in Section 8.3

"*Indebtedness*" means (a) all guaranties by the Borrower or the Guarantors, (b) all liabilities (exclusive of reserves such as those established for deferred taxes or litigation) recorded or required to be recorded as such on the audited financial statements of the Borrower or the Guarantors in accordance with generally accepted accounting principles, and (c) all obligations for the payment of money incurred or assumed by the Borrower or the Guarantors (i) due and payable in all events or (ii) if incurred or assumed primarily to assure the repayment of money borrowed or credit extended, due and payable upon the occurrence of a condition precedent or upon the performance of work, possession of Property as lessee, rendering of services by others or otherwise.

"*Independent Architect*" means an architect, engineer or firm of architects or engineers selected by the Borrower, or the Guarantors, and licensed by, or permitted to practice in, the state where the construction involved is located, which architect, engineer or firm of architects or engineers, in the case of an individual, is not a member, director, officer of the Borrower, the Guarantors, or any affiliate thereof and, in the case of a firm, does not control the Borrower, the Guarantors or any affiliate thereof and is not controlled by or under common control with the Borrower, the Guarantors or any affiliate thereof.

"*Independent Consultant*" means a firm (i) which shall not have a partner, director, officer or substantial stockholder who is either an employee, director or officer of the Borrower or the Guarantors and (ii) which shall be appointed by the Borrower, and shall be qualified to pass upon questions relating to the financial affairs of facilities of a type such as the Project and which shall have a favorable national reputation for skill and experience in the financial affairs of such facilities.

"*Insurance Consultant*" means a person or firm who in the case of an individual is not an employee or officer of the Borrower and which, in the case of a firm, does not control the Borrower thereof and is not controlled by or under common control with the Borrower, appointed by the Borrower and satisfactory to the Trustee, qualified to survey risks and to recommend insurance coverage for facilities similar to the Project, and having a favorable reputation for skill and experience in such surveys and such recommendations, and which may include a broker or agent with whom the Borrower transacts business.

"*Independent Counsel*" means an attorney duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Borrower, the Guarantors, the Authority, or the Trustee.

"*Loan*" means the loan of the proceeds of the Bonds made by the Authority to the Borrower pursuant to Section 7.1 hereof.

"Lien" means any mortgage, pledge or lease of, security interest in or lien, charge, restriction or encumbrance on any property of the Borrower in favor of, or which secures any obligation to, any Person, and any Capitalized Lease.

"Loan Documents" means the Loan Agreement, the Trust Indenture, the Bonds, the Tax Exemption Agreement, the Mortgage, the Guaranty, the Collateral Assignment of Construction Documents, the Bond Purchase Agreement, and the Limited Offering Memorandum.

"Maximum Annual Debt Service Coverage Ratio" means, for any period of time, the ratio consisting of a numerator equal to the amount determined by dividing Income Available for Debt Service for that period by the Maximum Annual Debt Service Requirements and a denominator of one.

"Maximum Annual Debt Service *Requirement"* means the largest total Debt Service Requirements for all Funded Indebtedness outstanding for the current or any succeeding fiscal year.

"Net Proceeds" means the gross proceeds from an insurance or condemnation award or sale with respect to which that term is used less all expenses (including attorney's fees, adjuster's fees and any fees, costs and expenses of the Trustee) incurred in the collection of such gross proceeds.

"Opinion of Bond Counsel" means an opinion of nationally recognized municipal bond counsel, which counsel and opinion, including scope, form, substance and other aspects thereof, are acceptable to the Trustee and the Authority.

"Permitted Encumbrances" means the Trust Indenture and this Loan Agreement, and as of any particular time:

(i) Liens arising by reason of good faith deposits with the Borrower in connection with tenders, leases of real estate, bids or contracts (other than contracts for the payment of money), deposits by the Borrower to secure public or statutory obligations, or to secure, or *in* lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges; any Lien arising by reason of deposits with, or the giving of any form of security to, any governmental agency or any body created or approved by law or governmental regulation for any purpose at any time as required by law or governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable the Borrower to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with worker's compensation, unemployment insurance, pensions or profit sharing plans or other social security plans or programs, or to share in the privileges or benefits required for corporations participating in such arrangements;

(ii) any Lien on property acquired by the Borrower which Lien secures Indebtedness issued, incurred or assumed by the Borrower in connection with and to effect such acquisition or existing Indebtedness which will remain outstanding after such acquisition but will not be assumed by the Borrower, if in any such case the aggregate principal amount of such Indebtedness does not exceed the fair market value of the property subject to such Lien as determined in good faith by the Governing Body of the Borrower;

(iii) leases which relate to property of the Borrower which is of a type that is customarily the subject of such leases, such as food service or concession facilities, leases entered into in accordance with the disposition of property provisions of the Loan Agreement; and any leases, licenses or similar rights to use property hereunder the Borrower is lessee,

licensee or the equivalent thereof upon fair and reasonable terms no less favorable to the lessee or licensee than would obtain in a comparable arm's-length transaction;

(iv) Liens for taxes and special assessments which are not then delinquent, or if then delinquent are being contested in accordance with Section 9.10 of this Loan Agreement;

(v) utility, access and other easements and rights-of-way, restrictions, encumbrances and exceptions which do not materially interfere with or materially impair the operation of the property affected thereby (or, if such property is not being then operated, the operation for which it was designed or last modified);

(vi) any mechanic's, laborer's, materialman's, supplier's or vendor's Lien or right in respect thereof if payment is not yet due under the contract in question or if such Lien is being contested in accordance with the provisions of Section 9.10 of this Loan Agreement;

(vii) such Liens, defects, irregularities of title and encroachments on adjoining property as normally exist with respect to property similar in character to the property involved and which do not materially adversely affect the value of, or materially impair, the property affected thereby for the purpose for which it was acquired or is held by the Borrower, including without limitation statutory liens granted to banks or other financial institutions, which liens have not been specifically granted to secure Indebtedness and which do not apply to property which has been deposited as part of a plan to secure Indebtedness;

(viii) zoning laws and similar restrictions which are not violated by the property affected thereby;

(ix) all right, title and interest of the state where the property involved is located, municipalities and the public in and to tunnels, bridges and passageways over, under or upon a public way;

(x) Liens of or resulting from any judgment or award, the time for the appeal or petition for rehearing of which shall not have expired, or in respect of which the Borrower shall at any time in good faith be prosecuting an appeal or proceeding for a review and in respect of which a stay of execution pending such appeal or proceeding for review shall be in existence;

(**xi**)

any security interest in the Rebate Fund; and

(xii) such Liens, covenants, conditions and restrictions, if any, which do not secure Indebtedness and which are other than those of the type referred to above, as are set forth in *Exhibit A* to this Loan Agreement, and which (i) in the case of property owned by the Borrower on the date of execution of this Loan Agreement, do not and will not, so far as can reasonably be foreseen, materially adversely affect the value of the property currently affected thereby or materially impair the same, and (ii) in the case of any other property, do not materially impair or materially interfere with the operation or usefulness thereof for the purpose for which such property was acquired or is held by the Borrower.

"Plans and Specifications" means the plans and specifications for the Project which have been prepared by an Independent Architect and approved by the Borrower, together with such

modifications and additions thereto as are made by the Borrower in accordance with the provisions of Section 3.4 of this Loan Agreement.

"Pledged Property" means the property described in the Granting Clauses of this Loan Agreement.

"Revenues" means, for any period, all revenues, payments, proceeds, fees, charges, rent and all other income of any nature, including, without limitation revenues generated through the sale of services, rental or lease of property, any other revenue generated from the operation of the Borrower's business, investment income on moneys held under the Trust Indenture, derived directly or indirectly, and any proceeds of business interruption insurance and any other

insurance proceeds which are deemed to be revenues in accordance with generally accepted accounting principles.

"Schedule" means the Schedule of equipment to be purchased and improvements to be undertaken, which Schedule may be amended pursuant to the provisions of this Loan Agreement. The Schedule is attached as Exhibit A to the Project Certificate.

"Tax-Exempt Organization" means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501 (c)(3) of the Code, which is exempt from federal income taxation under 501(a) of the Code, and which is not a "private foundation" within the meaning of Section 509(a) of the Code, or corresponding provisions of federal income tax laws from time to time in effect.

All references in this instrument to designated "Articles", "Sections" and other subdivisions are to the designated Articles, Sections and other subdivisions of this instrument as originally executed. The words "herein", "hereof" and "hereunder" and other words of similar import refer to this Loan Agreement as a whole and not to any particular Article, Section or other subdivision unless the context indicates otherwise.

Section 2.1.

that:

(i)

ARTICLE II

REPRESENTATIONS

Representations by the *Authority*. The Authority represents and warrants

The Authority is a body politic and corporate, validly created and existing under the Act, is authorized to enter into the transactions contemplated by this Loan Agreement and to carry out its obligations hereunder and thereunder, has been duly authorized to execute and deliver this Loan Agreement;

(ii) The issuance and sale of the Bonds, the loaning of the proceeds of the Bonds to the Borrower to be used, along with certain other moneys, to (i) finance or reimburse a portion of the costs of the acquisition, construction, renovation, remodeling and equipping of the

Project, (ii) establish a Debt Service Reserve Fund for the Bonds, (iii) pay a portion of the interest on the Bonds, and (iv) pay certain expenses incurred in connection with the issuance of the Bonds, the execution and delivery of this Loan

Agreement, the Trust Indenture, the **Tax** Exemption Agreement, the Bond Purchase Agreement and the performance of all covenants and agreements of the Authority contained in this Loan Agreement and of all other acts and things required under the Constitution and laws of Illinois to make this Loan Agreement, the Bond Purchase Agreement, the Trust Indenture and the Tax Exemption Agreement valid and binding obligations enforceable against the Authority in accordance with their respective terms, are authorized by the Act and have been duly authorized or approved by proceedings of the Authority adopted at meetings thereof duly called and held; and

(iii) To provide funds to loan to the Borrower for the purposes described above, the Authority has authorized its Bonds in an aggregate principal amount not to exceed $8,490,000 to be issued upon the terms set forth in the Trust Indenture, under the provisions of which the Authority's interest in this Loan Agreement (other than Unassigned Rights) and the payments of principal, interest and other revenues hereunder are pledged and assigned to the Trustee as security for the payment of the principal of, premium, if any, and interest on the Bonds.

(iv) To the best of its knowledge, no member of the Authority or officer, agent or employee thereof is, in his or her own name or in the name of a nominee, an officer, director or holder of an ownership interest of more than 7-1/2% in any person, association, trust, Borrower, partnership or other entity which is, in its own name or in the name of a nominee, a party to any contract or agreement upon which the member or officer, agent or employee may be called upon

to act or vote in connection with the Project.

(v) To the best of its knowledge, no member of the Authority or officer, agent or employee thereof is, in his or her own name or in the name of a nominee, a holder of any direct or indirect interest (other than a prohibited interest described in paragraph (d) above) in any contract or agreement upon which the member or officer, agent or employee may be called upon to act or vote in connection with the Project, except for direct or indirect interests (other than prohibited interests), (i) which such member, officer, agent or employee has disclosed to the Secretary of the Authority prior to the taking of final action by the Authority with respect to such contract or agreement in the manner required by Section 845-45(b) of the Act, which disclosure has been publicly acknowledged by the Authority and entered upon the minutes of the Authority, and (ii) as to which the member, officer, agent or employee has refrained from taking the actions described in said Section 845-45(b).

(vi) Neither the Authority's execution of this Loan Agreement, its consummation of the transaction contemplated on its part thereby, nor the Authority's fulfillment or compliance with the terms and conditions thereof conflicts with or results in a breach of the terms, conditions and provisions of any material restriction, agreement or instrument to which the Authority is a party, or by which it or any of its property is bound, or constitutes a default under any of the foregoing.

Section 2.2.

Representations and Warranties by the Borrower. The Borrower makes the following representations and warranties as the basis for its covenants herein:

(i)

The Borrower is a limited liability company incorporated under the laws of the State, is in good standing and duly authorized to conduct its business in the State, is duly authorized and has full power under the laws of the State and all other applicable provisions of law and its articles of organization and operating agreement to create, issue, enter into, execute and deliver this Loan Agreement, the Bond Purchase Agreement, the Mortgage, the Collateral Assignment of Construction Documents, the Tax Exemption Agreement and the Limited Offering Memorandum, and all action on its part necessary for the valid execution and delivery of this Loan Agreement, the Bond Purchase Agreement, the Mortgage, the Tax Exemption Agreement and the Limited Offering Memorandum has been duly and effectively taken.

(ii) The execution and delivery of this Loan Agreement, the Limited Offering Memorandum, the Bond Purchase Agreement, the Mortgage, the Collateral Assignment of

Construction Documents and the Tax Exemption Agreement, the consummation of the transactions contemplated on its part thereby, and the fulfillment of the terms and conditions thereof do not and will not conflict with or result in a material breach of the Articles of Organization or Operating Agreement or of any agreement or instrument to which the Borrower is now a party, and do not and will not constitute a material default under any of the foregoing.

(iii)

Except as described in the Limited Offering Memorandum, no litigation, proceedings or investigations are pending or, to the knowledge of the Borrower, threatened against the Borrower seeking to restrain, enjoin or in any way limit the approval or issuance and delivery of the Trust Indenture or the Bonds by the Authority or the issuance and delivery of this Loan Agreement, the Bond Purchase Agreement, the Mortgage, the Collateral Assignment of Construction Documents, the Limited Offering Memorandum or the Tax Exemption Agreement by the Borrower, or which would in any manner challenge or adversely affect the corporate existence or corporate powers of the Borrower to enter into and carry out the transactions described in or contemplated by or the execution, delivery, validity or performance by the Borrower of the terms and provisions of this Loan Agreement, the Bond Purchase Agreement, or the Tax Exemption Agreement. In addition, except as described in the Limited Offering Memorandum, no litigation, proceedings or investigations are pending or, to the knowledge of the Borrower, threatened against it except (1) litigation, proceedings or investigations involving claims for which the probable ultimate recoveries and the estimated costs and expenses of defense, in the opinion of management of the Borrower, will be entirely within the applicable insurance policy limits (subject to applicable deductibles) or are not in excess of the total of the available assets held under applicable self-insurance programs or (ii) litigation, proceedings or investigations which if adversely determined will not, in the opinion of management of the Borrower, have a material adverse effect on the operations or condition, financial or otherwise, of the Borrower.

(iv) The information used in the preparation of the financial statements furnished by the Borrower to the Authority, this Loan Agreement, the Bond Purchase Agreement, the Tax Exemption Agreement, the Mortgage and any other written statement (including the Limited Offering Memorandum) furnished by the Borrower to the Authority do not contain any untrue statement of a material fact or omit to state a

material fact necessary to make the statements contained therein or herein not misleading. There is no fact which the Borrower has not disclosed to the Authority in writing which materially adversely affects or, so far as the Borrower can now foresee, will materially adversely affect the financial condition of the Borrower, its status as a Tax-Exempt Organization, its ability to own and operate its property, or its ability to make the payments upon under this Loan Agreement when and as the same become due and payable.

(v) The Borrower has not heretofore engaged in, and the consummation of the transactions herein provided for, and compliance by the Borrower with the provisions of this Loan Agreement, and the Tax Exemption Agreement will not involve any prohibited transaction within the meaning of the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), or Section 4975 of the Code. No "employee pension benefit plans," as defined in ERISA ("Plans"), maintained by the Borrower, nor any trust created thereunder, have incurred any "accumulated funding deficiency" as defined in Section 302 of ERISA.

(vi)

None of the proceeds of the Bonds will be used, directly or indirectly, to pay, to reimburse the Borrower or the Guarantors for the payment of, or to refund indebtedness the proceeds of which were used to pay, for the acquisition, construction, renovation, remodeling or equipping or any of the expenses of any institution, place or building, or any portion thereof, used or to be used for sectarian instruction or study or as a place for devotional activities or religious worship or in connection with any part of the program of a school or department of divinity for any religious denomination or the training of ministers, priests, rabbis or other similar persons in the field of religion.

(vii) The representations and certifications contained in the Tax Exemption Agreement and the Project Certificate are true and correct, and are incorporated herein.

(viii) The Borrower has all necessary licenses and permits for the work in progress on the Project. The Project has been approved by all necessary governmental bodies or agencies having jurisdiction, except building permits to be obtained in due course. The Borrower has no reason to believe that any remaining approvals, licenses and permits, if any, required for the completion and occupancy of the Project will not be issued in due course.

(ix) No authorizations, consents or approvals of governmental bodies or agencies are required in connection with the execution and delivery by the Borrower of this Loan Agreement, the Bond Purchase Agreement, the Tax Exemption Agreement, the Mortgage, the Collateral Assignment of Construction Documents or the Limited Offering Memorandum in connection with the carrying out by the Borrower of its obligations under this Loan Agreement, the Bond Purchase Agreement, or the Tax Exemption Agreement which have not been obtained or, if not obtained on the date of this Loan Agreement, are expected to be obtained in the normal course of business at or prior to the time such authorizations, consents or approvals are required to be obtained.

Section 2.3. Representations, Warranties and *Covenants* by *the Guarantors*. Each of the Guarantors makes the following representations, warranties and covenants as the basis for its covenants herein:

(i) Each of the Guarantors (i) is a nonprofit corporation duly organized and validly existing under the laws of the State of Illinois, (ii) has the power and authority to own its properties and assets and to carry on its business as now being conducted and presently planned to be conducted, and (iii) has the power to execute and perform all the undertakings of this Loan Agreement, to incur its obligations hereunder and to execute, deliver and perform under any documents required hereby.

(ii) Each of the Guarantors represents and warrants that (i) it is a Tax-Exempt Organization; (ii) it has received letters from the Internal Revenue Service to that effect; **(iii)** such letters have not been modified, limited or revoked; (iv) it is in compliance with all material terms, conditions and limitations, if any, contained in such letters; and (v) the facts and circumstances which form the basis of such letters continue substantially to exist as represented to the Internal Revenue Service.

(iii) Each of the Guarantors agrees that it will not take any action or omit to take any action or cause or permit any circumstance within its control to arise or continue if such action or circumstance or omission would cause any revocation or adverse modification of such federal income tax status.

(iv) Each of the Guarantors covenants that it shall comply with the provisions of any agreement, certificate or other instrument signed by any of the Authority, the Borrower or the Guarantors and setting forth relevant matters in connection with the exclusion from gross income for Federal income tax purposes of the interest on any Bonds, including matters with respect to the requirement, if any, that certain earnings on funds constituting proceeds of such Bonds be rebated to the United States of America in accordance with Section 148(c) of the Code, and may include this Loan Agreement, the Trust Indenture or any supplement thereto to the extent such matters are included therein. Each of the Guarantors covenants that it will not take any action, or fail to take any action, if any such action or failure to take action would adversely affect the exclusion from gross income of the interest on any Bonds under Section 103 of the Code and in the event of such action or failure, it will, promptly upon having such brought to its attention, take such reasonable actions based upon advice of Bond Counsel and,

in all cases, at the sole expense of the Guarantors or the Borrower as may rescind or otherwise negate such action or failure. Each of the Guarantors will take appropriate steps to insure that the Borrower does not directly or indirectly, use or permit the use (including the making of any investment) of any proceeds of the Bonds or any other funds of the Borrower, or take or omit to take any action, that would cause the Bonds to be "arbitrage bonds" within the meaning of Section 148(a) of the Code. In the event that at any time either of the Guarantors is of the opinion that for purposes of this Section it is necessary to restrict or limit the yield on the investment of any moneys held by the Trustee under the Trust Indenture or otherwise, it shall cause the Authorized Borrower Representative to so instruct the Trustee in writing, and shall cause the Trustee to take such action as may be

necessary in accordance with such instructions. The Trustee shall be entitled to rely upon such instructions.

(v) Neither the Guarantors nor any related person (as defined in Section 144(a)(3) of the Code) shall purchase any of the Bonds in an amount related to the obligations of the Guarantors or the Borrower under the Trust Indenture.

(vi) The execution and performance of this Loan Agreement, and other instruments required pursuant to this Loan Agreement from the Guarantors (i) have been duly authorized by the Guarantors, (ii) will not violate or conflict with any provision of law, rule or regulations, any order of any court or other agency of government or any provision of either of the Guarantors' articles of incorporation or by-laws, (iii) is not prevented, limited by or in conflict

with, and will not result in a breach of or default under, any indenture, agreement or other instrument to which either of the Guarantors is a party or by which it or any of their property is bound, and (iv) will not result in the creation or imposition of any lien or encumbrance of any nature, other than the liens created pursuant to this Loan Agreement, or the Trust Indenture,

(vii)

There is no action, suit, proceeding or investigation at law or in equity by or before any court, governmental instrumentality or other agency now pending, or, to the knowledge of the Guarantors, threatened against or affecting it which will have a material adverse effect on any of their properties or rights.

(viii) The representations, statements and warranties of the Guarantors set forth in this Loan Agreement or any other document, certificate or statement (including the Limited Offering Memorandum) furnished to the Trustee or the Authority by or on behalf of the Guarantors and the Borrower in connection with the undertaking of the Project (1) are true, correct and complete, (2) do not contain any untrue statement of a material fact and (3) do not omit to state a material fact necessary in order to make the statements contained herein and therein not materially misleading or materially incomplete. It is specifically understood by the Guarantors that all such statements, representations and warranties shall be deemed to have been relied upon by the Authority as an inducement to enter into this Loan Agreement.

(ix) Neither of the Guarantors has taken any action, neither of the Guarantors intends to take any action, and neither of the Guarantors know of any action that any other person, firm or corporation has taken or intends to take, which would cause interest on the Bonds to be includable in the gross income of the recipients thereof for federal income tax purposes.

(x)

Reserved.

(xi) Each of the Guarantors agrees to and does hereby indemnify and hold harmless the Authority, the Trustee and any member, officer, director, official, employee, and attorney of the Authority or the Trustee (collectively called the "Indemnified Parties") against any and all losses, claims, damages or liabilities (including all costs, expenses and reasonable counsel fees incurred in investigating or defending such claim)

suffered by any of the Indemnified Parties and caused by, relating to, arising out of, resulting from, or in any way connected with (i) the condition, use, possession, conduct, management, planning, design, acquisition, construction, installation, financing or sale of the Facilities or any part thereof; or (ii) any untrue statement of a material fact contained in information submitted or to be submitted to the Indemnified Parties by the Guarantors with respect to the transactions contemplated hereby, including in any offering documents with respect to any Bonds; or (iii) any omission of a material fact necessary to be stated therein in order to make such statement to the Indemnified Parties, including in any offering documents with respect to any Bonds, not misleading or incomplete. In case any action shall be brought against one or more of the Indemnified Parties based upon any of the above and in respect to which indemnity may be sought against the Guarantors, such Indemnified Parties shall promptly notify the Guarantors in writing, and the Guarantors shall assume the defense thereof, including the employment of counsel satisfactory to the Indemnified Parties and the payment of all costs and expenses. Any one or more of the Indemnified Parties shall have the right to employ separate counsel in any such action and to participate in the defense thereof, but the fees and expenses of such counsel shall be paid by such Indemnified Parties unless the employment of such counsel has been specifically authorized by the Guarantors or is required in the reasonable judgment of the Indemnified Party because of the differing interests of the Guarantors and the Indemnified Party. Notwithstanding anything in this Loan Agreement to the contrary which may limit recourse to the Guarantors or may otherwise purport to limit the Guarantors' liability, the provisions of this Section shall control the Guarantors' obligations and shall survive repayment of the Bonds.

(xii) Each of the Guarantors also agrees to indemnify the Trustee, and to hold the Trustee harmless against any loss, liability or expense incurred without negligence or willful misconduct on the Trustee's part, arising out of or in connection with the acceptance or administration of the trust under the Trust Indenture, including the costs and expenses of defending against any claim or liability in connection with the exercise or performance of any of its powers or

duties hereunder.

(xiii) The provisions of this Section shall survive repayment of all Bonds and all amounts payable hereunder and termination of this Loan Agreement.

ARTICLE III

DOCUMENTS

Section 3.1. Documents. On or before the Closing Date, the Borrower will deliver or cause to be delivered to the Authority (unless the right to delivery thereof is waived by the Authority) and the Trustee copies of the following: (i) a survey of the Land owned by the Borrower indicating the proposed location of the Project, prepared in accordance with the standard detail requirements for land title surveys adopted by the American Land Title Association and the American Congress on Surveying and Mapping in 1986, as revised and in effect on the date thereof, and certified to the Authority and to the Trustee or in such form as is acceptable to the Authority, together with an Officer's Certificate of the Borrower Agent certifying, among other things, that (a) such survey is true, complete and correct in all material

respects as of the Closing Date and (**b**) since the date of such survey, there have been no changes as to any encroachments, overlaps, unrecorded easements or other matters, including additional improvements, which a current update of the survey would disclose, except encroachments, overlaps or unrecorded easements of the type described in subparagraphs (e) and (g) of the definition of Permitted Encumbrances, (ii) all available preliminary and final Plans and Specifications for the Project (the Borrower agrees to deliver to the Authority and the Trustee the final versions of such preliminary Plans and Specifications as such final versions become available and in any event by such time as work is commenced on the portion of the Project to which such Plans and Specifications relate), (iii) a list of the equipment to be purchased and the other expenditures to be made (except pursuant to the Plans and Specifications) by the Borrower from amounts, if any, deposited in the Project Fund, (iv) all currently required permits for the construction, renovation, remodeling and equipping of the Project (said documents, together with the contracts and performance bonds hereinafter referred to, are herein collectively called the "Project Documents"). The Authority may waive its right to receive copies of any or all of the Project Documents.

Section 3.2. *Annual Certificate*. For each year that the Loan Agreement remains in effect, the Borrower will furnish to the Authority and Trustee on or before January 31 of each succeeding year, a certificate of the Borrower, signed by an Authorized

Authorized Borrower

Representative, stating that (i) the Borrower has made a review of its activities during the preceding calendar year for the purpose of determining whether or not the Borrower has complied with all of

the terms, provisions and conditions of this Loan Agreement, (ii) the Borrower has kept, observed, performed and fulfilled each and every covenant, provision and condition of this Loan Agreement on its part to be performed, and (iii) the Borrower is not in default in the performance or observance of any of the covenants, provisions or conditions hereof, or if the Borrower shall be in default, such certificate shall specify all such defaults and the nature thereof.

Section 3.3. Opinion re: Permitted Encumbrances. On or prior to the Closing Date, the Borrower, at its own cost and expense, will deliver or cause to be delivered to the Trustee and the Authority a commitment for title insurance issued by Chicago Title, or a comparable title company, with respect to the Borrower's Land and an opinion of Independent Counsel, which Counsel and opinion, including without limitation, the scope, form, substance and other aspects thereof, are acceptable to the Authority, to the effect that the liens, encumbrances, security interests, conditions and restrictions set forth in the title insurance commitment and the financing statements referred to below are all Permitted Encumbrances. Such opinion may be based upon (i) such commitment for title insurance, (ii) the survey of the Land described in Section 3.1 hereof, (iii) the Officer's Certificate described in Section 3.1 hereof, (iv) certificates of authorized officer of the Borrower dated as of the Closing Date with respect to (a) easements or claims of easements not shown in the public records, (b) any lien or right to lien not shown by the public records, and (c) whether any title matters constitute the type of Permitted Encumbrances specified in subparagraph (e) or (g) of the definition thereof, and (v) searches of financing statements and commercial code records in the office of the Secretary of State of the State and Cook County, Illinois made by persons or firms providing such services.

Section 3.4. Changes in or *Amendments* to *Project Documents*. The Borrower may make, authorize or permit such changes in or amendments to the Project Documents as the

Borrower may reasonably determine are necessary or desirable; provided, however, that no such change or amendment shall be made to the Project Documents unless (a) such change or amendment is in the form of a change order which does not change the nature of the Project, **(b)** such change or amendment will not cause the weighted average maturity of the Series 2008 Bonds to exceed 120% of the weighted average of the reasonably expected economic life of the assets being financed or refinanced with the proceeds of the Series 2008 Bonds, unless the Borrower first certifies to the Trustee in a written statement that it expects to be able to shorten the average maturity of the Series 2008 Bonds to not to exceed 120% of the average reasonably expected economic life of the assets being financed or refinanced with the proceeds of the Series 2008 Bonds through the deposit to the Optional Redemption Fund described in Section 7.3 of this Loan Agreement, and (c) such change or amendment would not, when aggregated with all prior changes or amendments to the Schedule result in an increase in the cost of the Project of more than $250,000, unless the Borrower first verifies in a written

statement to the Trustee that the proposed change or amendment will not cause the total estimated cost of the Project to exceed the amount on deposit in the Project Fund plus (i) a reasonable estimate of the investment income thereon and on other funds established under the Trust Indenture, held by the Trustee and to be deposited in the Project Fund, (ii) funds held by the Borrower and committed by the Borrower for the completion of the Project and (iii) the amount committed to the Borrower through enumerated bank loans (including letters of credit) and federal or State grants for the completion of the Project. The Borrower may rely on a certificate of the Trustee as to the amounts available or to be available in the Project Fund to complete the Project as aforesaid. No such change or amendment shall be made which would result in the Facilities of the Borrower being used for any purpose prohibited by Section 8.1 of this Loan Agreement which would result in the Project or any portion thereof not being located on the portion of the land owned by the Borrower and referred to in the applicable TEFRA notice. A copy of each such change in or amendment to the Project Documents shall be filed promptly with the Authority (unless the right to delivery thereof is waived by the Authority) and the Trustee.

Section 3.5. *Enforcement* of *Contract* and *Surety Bonds*. In the event of a material default of any contractor or subcontractor under any construction contract or any other contract made in connection with the Project, or in the event of a material breach of warranty with respect to any materials, workmanship or performance, the Borrower will promptly proceed, either separately or in conjunction with others, to pursue diligently the remedies of the Borrower against the contractor or subcontractor in default and against any surety on a bond securing the performance of such contract. Any amounts recovered by way of damages, refunds, adjustments or otherwise in connection with the foregoing, after deduction of expenses incurred in such recovery and after reimbursement to the Borrower of any amounts theretofore paid by the Borrower and not previously reimbursed to the Borrower for correcting or remedying the default which gave rise to the proceedings against the contractor, subcontractor or surety, shall be paid into the Project Fund if received before the completion date of the Project, and otherwise shall be deposited in the manner provided in Section 3.3 of the Trust Indenture with respect to excess funds in the Project Fund upon completion of the Project.

Section 4.1.

ARTICLE IV

COMPLETION OF THE PROJECT

Agreement to *Complete the Project; Agreement to Equip the Project*. The Borrower agrees to cause the Project to be accomplished solely on the Land and to be completed with reasonable dispatch, to provide (from its own funds if required) all moneys necessary to complete the Project and to acquire or otherwise provide all equipment and furnishings necessary for the operation of the Project.

The Borrower represents that its present intention and expectation is to use the Project for the purposes set forth in its application for financing and refinancing to the Authority for so long as there shall be Bonds Outstanding. Notwithstanding such intention and expectation, the Borrower shall have the right to use the Project for any lawful purpose which in the opinion of Bond Counsel will not affect adversely the validity of the Bonds or result in the inclusion of interest on the Series 2008 Bonds in gross income of the Owners of the Series 2008 Bonds for federal income tax purposes.

The Borrower covenants that until all the Bonds shall have been redeemed or retired and all other obligations incurred or to be incurred by the Authority in connection with the Project under the Trust Indenture or this Loan Agreement shall have been paid, or sufficient funds (including Government Obligations) held in trust for the payment of all such obligations, the Borrower shall use, maintain and operate, or cause to be used, maintained and operated, the Project consistent with the Borrower's obligations imposed hereunder and under the Act.

Section 4.2. No *Warranty* by *the Authority* with respect to the *Project*. THE BORROWER RECOGNIZES THAT THE AUTHORITY HAS NOT MADE AN INSPECTION OF THE PROJECT OR OF ANY FIXTURE OR OTHER ITEM CONSTITUTING A PORTION THEREOF, AND THE AUTHORITY MAKES NO WARRANTY OR REPRESENTATION, EXPRESS OR IMPLIED OR OTHERWISE, WITH RESPECT TO THE SAME OR THE LOCATION, USE, DESCRIPTION, DESIGN, MERCHANTABILITY, FITNESS FOR USE FOR ANY PARTICULAR PURPOSE, CONDITION OR DURABILITY THEREOF, OR AS TO THE AUTHORITY'S OR THE BORROWER'S TITLE THERETO OR OWNERSHIP THEREOF OR OTHERWISE, IT BEING AGREED THAT ALL RISKS INCIDENT THERETO ARE TO BE BORNE BY THE BORROWER. IN THE EVENT OF ANY DEFECT OR DEFICIENCY OF ANY NATURE IN THE PROJECT OR ANY FIXTURE OR OTHER ITEM CONSTITUTING A PORTION THEREOF, WHETHER PATENT OR LATENT, THE AUTHORITY SHALL HAVE NO RESPONSIBILITY OR LIABILITY WITH RESPECT THERETO. THE PROVISIONS OF THIS SECTION 4.2 HAVE BEEN NEGOTIATED AND ARE INTENDED TO BE A COMPLETE EXCLUSION AND NEGATION OF ANY WARRANTIES OR REPRESENTATIONS BY THE AUTHORITY, EXPRESS OR IMPLIED, WITH RESPECT TO THE PROJECT OR ANY FIXTURE OR OTHER ITEM CONSTITUTING A PORTION THEREOF, WHETHER ARISING PURSUANT TO THE UNIFORM COMMERCIAL CODE OF THE STATE OF ILLINOIS OR ANOTHER LAW NOW OR HEREAFTER IN EFFECT OR OTHERWISE.

Section 4.3.

Operation of *the Project* Fund; *Completion Certificate*.

(i) The Borrower agrees that moneys on deposit in the Project Fund shall be disbursed by the Trustee only in accordance with the terms of Section 3.3 of the Trust Indenture.

(ii)

The Borrower covenants to deliver to the Trustee and the Authority within 90 days after the completion of the Project the statements, certificates, reports and other documents described in Section 3.3(C) of the Trust Indenture, including without limitation a recalculation of the average reasonably expected economic life of the Project if required by the provisions of Section 3.3(C)(2)(b)(ii) of the Trust Indenture.

(iii) The Borrower agrees that if after payment by the Trustee of all amounts requested pursuant to Written Requests theretofore tendered to the Trustee under the provisions of Section 3.3(B) of the Trust Indenture and after receipt by the Trustee of the statements and certificates described in subsection (b) of this Section there shall remain any moneys in the Project Fund, such moneys may be withdrawn and shall be used or deposited as provided in Section 3.3(D) of the Trust Indenture. In the event of such use or transfer of remaining moneys, the Borrower covenants to deliver to the Trustee the recalculation of the average reasonably expected economic life of the Bond Financed Property required by Section 3.3(D) of the Trust Indenture unless waived by the Authority.

Section 4.4. No *Warranty by the Authority* as to *Sufficiency* of *Funds*. In the event the money in the Project Fund available for payment of the costs of the Project shall not be sufficient to make such payment in full, the Borrower agrees to pay directly, or to deposit moneys in the Project Fund for the payment of, such costs of completing the Project as may be in excess of the moneys available therefore in the Project Fund. THE AUTHORITY DOES NOT MAKE ANY WARRANTY OR REPRESENTATION, EITHER EXPRESS OR IMPLIED, THAT THE MONEYS WHICH WILL BE DEPOSITED INTO THE PROJECT FUND, AND WHICH UNDER THE PROVISIONS OF THIS LOAN AGREEMENT WILL BE AVAILABLE FOR PAYMENT OF THE COSTS OF THE PROJECT, WILL BE SUFFICIENT TO PAY ALL OF THE COSTS WHICH WILL BE INCURRED IN CONNECTION THEREWITH. The Borrower agrees that if, after exhaustion of the moneys in the Project Fund, the Borrower should pay, or deposit monies in the Project Fund for the payment of, any portion of the costs of the Project pursuant to the provisions of this Section 4.4, it shall not be entitled to any reimbursement therefore from the Authority, the Trustee or from the owners of any of the Bonds, nor shall it be entitled to any diminution of the amounts payable by it under this Loan Agreement.

Section 5.1.

ARTICLE V

INVESTMENT OF FUNDS

Investment of Funds; *Arbitrage*; *Tax Exemption Agreement*. The Borrower covenants and agrees that moneys on deposit in any Fund under the Trust Indenture shall at all times be invested by the Trustee upon oral direction promptly followed by a Written Request of

the Borrower in Qualified Investments in accordance with Section 4.9 of the Trust Indenture and that the Borrower will take all actions necessary, including without limitation providing the Trustee with all necessary directions, to assure that such moneys are continuously invested in accordance with the provisions of the Trust Indenture and the Tax Exemption Agreement. The Borrower hereby acknowledges that if it fails to give the Trustee such oral direction or fails to file such Written Request with the Trustee, the Trustee will invest moneys in such Funds in Government Obligations maturing not more than 30 days after the date such investment is made. The Borrower covenants and agrees that if, at any time, any investment in any Fund under the Trust Indenture is downgraded below the rating level required at the time of the purchase thereof to be considered a Qualified Investment under the terms of the Trust Indenture, the Borrower will replace such investment with another Qualified Investment within 30 days of notice of such downgrade. The Borrower further covenants and agrees that it will not take or permit to be taken any action or fail to take any action, including without limitation any action with respect to the investment of the proceeds of any Bonds (whether or not held under the Trust Indenture), with respect to any other moneys or securities deposited with the Trustee pursuant to the Trust Indenture, with respect to the payments derived from the Loan Agreement, with respect to the purchase of other Authority obligations, with respect to any actions or payments required under the Tax Exemption Agreement, or with respect to any other moneys or properties, regardless of the source or where held, which may, notwithstanding compliance with the other provisions of the Trust Indenture, this Loan Agreement and the Tax Exemption Agreement, result in constituting the Series 2008 Bonds "arbitrage bonds" within the meaning of such term as used in Section 148 of the Code. The Borrower covenants that neither it nor any related person, as defined in Sections 144(a)(3) and 147(a) of the Code, shall, pursuant to an arrangement, formal or informal, purchase obligations of the Authority in an amount related to the amount of the Loan.

Section 6.1.

ARTICLE VI

Proceeds of Bonds. The Borrower agrees that the proceeds of the Bonds being loaned to the Borrower shall be deposited with the Trustee and applied as provided in the Trust Indenture.

Section 6.2. *Payment* of *Bonds*. The Borrower agrees that the principal of, the redemption premium, if any, and the interest on the Bonds shall be made payable in accordance with the provisions of the Trust Indenture and this Loan Agreement. The Borrower unconditionally agrees that it shall make payments to the Trustee (for the account of the Authority) in lawful money of the United States of America and in such amounts and at such times (if not sooner required under the terms of this Loan Agreement) as shall be necessary to enable the Trustee to make full and prompt payment when due (whether at stated maturity, upon redemption prior to stated maturity or upon acceleration of stated maturity), of the principal of, premium, if any, and interest on all Bonds issued under the Trust Indenture. The obligation of the Borrower to make the payments required in this Section 6.2 shall be absolute and unconditional and shall not be subject to diminution by set off, counterclaim, abatement or otherwise; and until such time as the principal of, premium, if any, and interest on the Bonds shall have been paid or provided for in accordance with the Trust Indenture, the Borrower: (i)

will not suspend or discontinue, or permit the suspension or discontinuance of, any payments provided for in this Section 6.2; (ii) will perform and observe all its other agreements contained in this Loan Agreement; and (iii) will not terminate this Loan Agreement for any cause, including, without limiting the generality of the foregoing, any defect in title to the Project, any acts or circumstances that may constitute failure of consideration, destruction of or damage to the Project, frustration of commercial purpose, any change in the tax or other laws or administrative rulings of or administrative actions by the United States of America or the State of Illinois or any political subdivision of either, or any failure of the Authority to perform and observe any agreement, whether expressed or implied, or any duty, liability or obligation arising out of or in connection with this Loan Agreement. The Borrower further agrees that the Loan Agreement and payments to be made thereon and thereunder (excluding Unassigned Rights) shall be assigned and pledged to the Trustee to secure the payment of the Bonds. The foregoing notwithstanding, the Borrower agrees that the moneys and securities, if any, on deposit in the Rebate Fund created under the Tax Exemption Agreement are not part of the "trust estate" and are not available to make payments of principal, premium, if any, and interest on the Bonds.

Section 6.3.

Right of *Trustee* to *Enforce this Loan Agreement*. The Borrower agrees

that this Loan Agreement and all of the rights, interests, powers, privileges and benefits accruing to or vested in the Authority under this Loan Agreement and may be protected and enforced in conformity with the Trust Indenture and may be thereby assigned by the Authority to the Trustee (except for Unassigned Rights) as security for the Bonds and may be exercised, protected and enforced for or on behalf of the Bondholders in conformity with the provisions of this Loan Agreement and the Trust Indenture.

Section 7.1.

ARTICLE VII

OBLIGATION PAYMENTS; FUND DEPOSITS;
PREPAYMENTS AND OTHER PAYMENT

Payment of Loan; *Payments under* Tax *Exemption Agreement*. Upon the terms and conditions of this Loan Agreement, the Authority makes a loan to the Borrower in the aggregate amount of $8,490,000. The Borrower hereby accepts the Loan. The Borrower shall repay the Loan in accordance with the provisions of this Loan Agreement, and in accordance with the true intent and meaning thereof and hereof.

The Borrower also agrees to make any payments required to be made by the provisions of the Tax Exemption Agreement.

Section 7.2. *Deposit of Net Revenues in Revenue Fund.* The Borrower shall transfer to the Trustee for deposit in the Revenue Fund established pursuant to the Trust Indenture, on or before the last day of each calendar month, commencing in the first calendar month after the delivery of the statements, certificates, reports and other documents described in Section 3.3(C) of the Trust Indenture, all Revenues remaining after (i) the payment of all operating expenses of the Project for such month; (ii) the payment of all routine maintenance and repair expenditures of the Project for such month, to the extent that they constitute operating expenses; and (iii) the retention of an amount necessary, together with other available funds of the Borrower, to pay (a) the operating expenses of the Project and (b) the routine maintenance and repair expenditures for

the Project (to the extent that they constitute operating expenses) for the then next succeeding calendar month.

Section 7.3. *Deposit* to *Optional Redemption* Fund for *Compliance with Maturity*

Limitation. If any recalculation of the average reasonably expected economic life of the Bond Financed Property pursuant to Section 3.3(C)(2)(b)(ii) or Section 3.3(D) of the Trust Indenture demonstrates that the average maturity of the Series 2008 Bonds exceeds 120% of the average reasonably expected economic life of the Project, the Borrower covenants and agrees to deposit in the Optional Redemption Fund established in the Trust Indenture as a prepayment of the Loan an amount which when applied by the Trustee to redeem Series 2008 Bonds is sufficient, based on an Opinion of Bond Counsel, to cause the average maturity of the Bonds to be no more than 120% of the average reasonably expected economic life of the Project. Such deposit to the Optional Redemption Fund shall be made at such time as will permit the Trustee to give proper notice of redemption pursuant to Section 5.3 of the Trust Indenture.

Section 7.4. Prepayment Generally. The Borrower shall be permitted to prepay, together with the accrued interest to the date of prepayment, all or any portion of the unpaid aggregate amount due hereunder pursuant to the terms herein so as to provide for any prepayment of the Bonds permitted by the Trust Indenture. In addition, the Borrower hereby directs the Authority to require the Trustee pursuant to the Trust Indenture to apply any moneys then on deposit in the Operation Reserve Fund as of November 1 of each year, commencing in the year 2017, to the optional redemption of the Series 2008 Bonds, in the inverse order of their maturities, in accordance with the provisions of Article V of the Trust Indenture; provided that the amount then on deposit on any such date is sufficient to redeem the Series 2008 Bonds in a principal amount equal to or greater than $25,000. Any such redemption of the Series 2008 Bonds shall be deemed to be a corresponding prepayment of the aggregate amount due hereunder.

Section 7.5. *Notice of Prepayment*. The Borrower shall give the Authority not less than 45 days prior written notice of any optional prepayment of the Loan, which notice shall designate the date of prepayment and the amount thereof and direct the redemption of the Bonds of the series and maturity in the applicable amounts; provided that no such notice shall be required in connection with any prepayment described in the second and third sentence of the Section 7.4 hereof. Any notice given by the Borrower pursuant to this Section may be withdrawn by the Borrower prior to delivery of the Borrower's notice to the Trustee pursuant to Section 5.3 of the Trust Indenture.

Section 7.6. Effect of Partial *Prepayment.* Upon any partial prepayment pursuant to Section 7.4 above, the amount owing hereunder shall be reduced, taking into account the interest rate or rates on the Bonds remaining outstanding after the redemption of such Bonds from the proceeds of such partial prepayment so that the interest remaining payable shall be sufficient to pay the interest on such outstanding Bonds when due.

Section 7.7.

Additional Payments. The Borrower agrees to pay the following items to the

following persons as additional payments under this Loan Agreement:

(i) To the Trustee, when due, all reasonable fees of the Trustee for services rendered under the Trust Indenture and all reasonable fees and charges of any Paying Agent, registrars, counsel, accountants, consultants, engineers and other persons incurred in the performance of services under the Trust Indenture on request of the Trustee for which the Trustee and such other persons are entitled to payment or reimbursement;

(ii) To the Authority, (i) the Borrower will pay the one-time issuance fee of $40,470 and the fees of its legal counsel prior to or contemporaneously with the issuance of the Bonds, and (ii) upon demand, all fees and expenses incurred by the Authority in relation to the Bonds which are not otherwise required to be paid by **the** Borrower under the terms of this Loan Agreement, and all applicable fees, expenses, taxes and assessments of the Authority as provided for under the Act; and

(iii) To the Trustee, the amount of all advances of funds made by it under the provisions of the Trust Indenture, with interest thereon at the Trustee's, announced prime rate per annum then in effect from the date of each such advance.

Section 7.8. *Borrower's Obligations Unconditional*. The Authority and the Borrower agree that the Borrower shall bear all risk of damage or destruction in whole or in part to its property, the Project or any part thereof including without limitation any loss, complete or partial, or interruption in the use, occupancy or operation of such property or the Project, or any manner or thing which for any reason interferes with, prevents or renders burdensome, the use or occupancy of its property or the Project or the compliance by the Borrower with any of the terms of this Loan Agreement. In furtherance of the foregoing, but without limiting any of the other provisions of this Loan Agreement, the Borrower agrees that its obligations to pay the sums herein provided for and to perform and observe its other agreements contained herein shall be absolute and unconditional.

Section 7.9. *Exchange of Bonds*. In the event the Act or the Authority created thereunder is determined to be unconstitutional under the laws of the State or under the laws of the United States of America, and as a result thereof, the Bonds issued by the Authority are declared to be invalid and unenforceable, and if as a result thereof the obligations of the Borrower to make payments hereunder are determined to be unenforceable, then the Borrower agrees that it will issue its own bonds (the interest on which may not be exempt from federal income tax) in exchange for the Bonds, principal amount for principal amount, having the same rates of interest, maturities, redemption provisions and prepayment provisions as are then applicable to the Bonds being exchanged. The bonds to be issued by the Borrower will be issued under an indenture having substantially the same terms and provisions as the

Trust Indenture, and the Loan Agreement and such bonds of the Borrower will be issued thereunder in exchange for the Bonds surrendered by the holders thereof. Notice of any such exchange shall be given as provided for redemption of the Bonds under the Trust Indenture and the expenses of such exchange, including the printing of the bonds and other reasonable expenses in connection therewith, shall be borne by the Borrower.

Section 8.1.

ARTICLE VIII

COVENANTS RELATING TO THE USE AND OPERATION

OF THE BORROWER'S PROPERTY

Use of the Borrower's Property. The Borrower agrees to use or cause to be used the Bond Financed Property primarily as and for an "industrial project" as defined in the Act and agrees to use or cause to be used all its Facilities only in furtherance of the lawful corporate purposes of the Borrower. The Borrower further agrees and covenants to operate its Facilities so as not to discriminate on a legally-impermissible basis.

All property which is to be refinanced by the net proceeds of the Bonds is expected to be owned by the Borrower during the term of the Bonds.

The Borrower agrees that it has not and will not use or permit to be used any of the Bond Financed Property: (i) by any Person in an Unrelated Trade or Business of the Borrower or (**ii**) by any person who is not a Tax-Exempt Organization or a governmental unit, in either case in such manner or to such extent as would result in the loss of any exemption to which the interest on the Series 2008 Bonds would otherwise be entitled.

The Borrower further agrees that it has not and will not use or permit to be used any of the Bond Financed Property: (i) primarily for sectarian instruction or study or as a place of devotional activities or

religious worship or as a facility used primarily in connection with any part of the program of a school or department of divinity for any religious denomination or the training of ministers, priests, nuns, rabbis or other similar persons in the field of religion or **(ii)** in a manner which is prohibited by the Establishment of Religion Clause of the First Amendment to the Constitution of the United States of America and the decisions of the United States Supreme Court interpreting the same or by any comparable provisions of the Constitution of the State and the decisions in the Supreme Court of the State interpreting the same.

The Borrower will permit the Authority to make inspections of any of its property upon reasonable notice during regular business hours to determine compliance with the two preceding paragraphs. The provisions of this paragraph and the immediately preceding paragraph shall remain in full force and effect notwithstanding the payment of the Bonds and the termination of the Trust Indenture and this Loan Agreement.

The covenants in this Section 8.1 need not be observed or may be changed if there shall be delivered to the Trustee and the Authority an Opinion of Bond Counsel to the effect that such nonobservance or change will not adversely affect the validity of the Bonds or the exclusion from gross income of interest on the Series 2008 Bonds for federal income tax purposes.

Section 8.2. *Rates and Charges*. The Borrower covenants and agrees to operate its Facilities primarily as a revenue producing facility, and to operate all its property on a non-discriminatory basis, to charge such fees and rates for its Facilities and services and to exercise such skill and diligence so as to provide income from its property, together with other available funds, sufficient to pay promptly all expenses of operation, maintenance and repair of its property and all other payments required to be made by the Borrower under the Loan Agreement.

The Borrower further covenants and agrees that it will, from time to time as often as necessary, to the extent permitted by law, revise its rates, fees and charges or take such other action as may be necessary or proper to comply with the provisions of this Section.

Section 8.3.

Debt Service Coverage Ratio. The Borrower and the Guarantors covenant and agree to maintain a fee and rate structure for the Facilities (together with other revenues of the Borrower and the Guarantors) which will insure that, as of the end of each fiscal year of the Borrower and the Guarantors, the ratio of Income Available for Debt Service for such period to Debt Service Requirements for the same period (the "Debt Service Coverage Ratio"), is not less than 1.25 to 1.0. Such covenant shall be tested annually, based upon the audited financial statements of the Borrower and the Guarantors. If such is not met, the Borrower and the Guarantors shall retain an Independent Consultant to make recommendations to meet this covenant or, if in the opinion of the Independent Consultant, the attainment of such level is impracticable, to the highest practicable level. The

Borrower agrees to follow the recommendations of the Independent Consultant, to the extent feasible, and, promptly upon receipt of such recommendations, subject to existing law, shall revise its rates, fees or charges or methods of operation and shall take such other action as shall be in conformity with such recommendations. If the Borrower and the Guarantors follow such Independent Consultant's recommendations, the failure to meet such covenant will not constitute an Event of Default under this Loan Agreement; provided, however, that the failure of the Borrower and the Guarantors to have, at the end of any fiscal year, a Debt Service Coverage Ratio for such fiscal year of not less than 1.00 to 1.00 will constitute an Event of Default under this Loan Agreement. The following definitions shall apply to this paragraph:

(i) *"Income Available for* Debt *Service*" means the sum of Increase/(Decrease) in Unrestricted Net Assets plus Increase/(Decrease) in Temporarily Restricted Net Assets (excluding, in each case, pledges not yet received in cash), which, in either case, is not subject to any lien or restricted for purposes inconsistent with payment of the obligations of the Borrower and the Guarantors under this Loan Agreement, plus depreciation, amortization and interest expense (each determined in accordance with GAAP), but excluding any realized gain or loss resulting from the sale or disposition of equipment and any realized or unrealized gain or loss resulting from changes in the valuation of investment securities.

(ii) "*Increase/(Decrease*) in *Temporarily Restricted* Net *Assets"* - means the amount set forth for the line item by that name as set forth in the most recent statement of activities of the Borrower and the Guarantors delivered pursuant to this Loan Agreement, or any conceptually equivalent items as classified in future financial statements of the Borrower and the Guarantors.

(iii) *"Increase/(Decrease*) in *Unrestricted* Net *Assets*" - means the amount set forth for the line item by that name as set forth in the most recent statement of activities of the Borrower and the Guarantors delivered pursuant to this Loan Agreement, or any conceptually equivalent items as classified in future financial statements of the Borrower and the Guarantors.

ARTICLE IX

PARTICULAR COVENANTS OF THE BORROWER AND THE GUARANTORS

Section 9.1.

Maintenance of Corporate Existence and Status. The Borrower agrees that it (or any successor into which it is merged or consolidated) will at all times maintain its existence as a limited liability company and that it will neither take any action nor suffer any action to be taken by

others which will alter, change or destroy its status as a Tax-Exempt Organization.

The Borrower further covenants that none of its money, property or other assets will be distributed to any of its members, directors or officers or inure to the benefit of any private person, association or borrower, provided, however, that the Borrower may pay compensation or provide payment in kind in a reasonable amount for services rendered, including for service as a director only, or otherwise distribute its money, property or other assets to its members, directors or officers if such distribution is permitted by the Illinois General Not For Profit Borrower Act of 1986, as amended, and is otherwise permitted under the terms hereof.

The Borrower further agrees that it will not act or fail to act in any other manner which would adversely affect any exemption for purposes of federal income taxation to which interest on the Series 2008 Bonds would otherwise be entitled.

The Borrower further acknowledges that in the event of an examination by the Internal Revenue Service of the exemption from federal income taxation for interest paid on the Series 2008 Bonds, the Authority is likely to be treated as the "taxpayer" in such examination, and the Borrower agrees that it will respond, and will direct the Authority to respond, in a commercially reasonable manner to any inquiries from the Internal Revenue Service in connection with such an examination. The Authority covenants that it will cooperate with the Borrower, at the Borrower's sole cost and expense, in connection with such examination.

Section 9.2. *Consent* to *Assignment of Loan Agreement Rights*. The Borrower agrees that the Loan Agreement payments to be made, shall be assigned and pledged to secure the payment of the Bonds and all of the rights, interests, powers, privileges and benefits accruing to or vested in the Authority hereunder or thereunder may be protected and enforced in conformity with the Trust Indenture and may be assigned by the Authority to the Trustee as additional security for the Bonds, other than Unassigned Rights.

Section 9.3. *Maintenance*; *Recording*. The Borrower will, at its expense, take all necessary action to maintain and preserve this Loan Agreement so long as the Loan is outstanding. The Borrower will, forthwith after the execution and delivery of this Loan Agreement and thereafter from time to time, cause this Loan Agreement and all documents securing the Loan Agreement and any financing statements in respect thereof to be filed, registered and recorded in such manner and in such places as may be required by law in order to publish notice hereof and thereof and fully to perfect and protect the lien of the Trust Indenture upon the trust estate referred to therein or any part thereof and, from time to time, will perform or cause to be performed any other act as provided by law and will execute or cause to be executed any and all continuation statements and further instruments that may be requested by the

Authority for such publication, perfection and protection. Except to the extent it is exempt therefrom, the Borrower will pay or cause to be paid all filing and registration and recording fees incident to such filing and registration and recording, and all expenses incident to the preparation, execution and acknowledgment of such instruments of further assurance and all federal or state fees and other similar fees, duties, imposts, assessments and charges arising out of or in connection with the execution and delivery of this Loan Agreement and such instruments of further assurance.

The Authority shall have no responsibility for the preparation, filing or recording of any instrument, document or financing statement or for the maintenance of any security interest intended to be perfected thereby. The Authority will execute such instruments as may be necessary in connection with such filing or recording.

Section 9.4.

Financial Statements, Etc. The Borrower and the Guarantors each covenant that they will keep proper books of record and account in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the Borrower and the Guarantors, in accordance with generally accepted accounting principles; provided, however, that internal interim books of records and accounts of the Borrower and the Guarantors need not be kept in accordance with generally accepted principles of accounting. In addition, the Borrower and the Guarantors will furnish the following to the Authority, the Underwriter and the Trustee:

(i) within 25 days after the last day of each fiscal quarter of the Borrower, internally generated financial statements of the Borrower, prepared in accordance with generally accepted accounting principles, consistently applied and certified to by the Authorized Borrower Representative or of the President or the chief financial officer of the Borrower;

(ii) within 120 days after the last day of each fiscal year of the Borrower and the Guarantors, the financial statements of the Borrower and the Guarantors, certified by Stuart Levin & Associates, P.C., independent certified public accountants, or by another independent certified public accountant or firm of independent certified public accountants of national standing selected by the Borrower and the Guarantors for such fiscal year and containing those financial statements customarily prescribed for similar not for profit entities, together with a separate written statement of the accountants certifying such report that such accountants have obtained no knowledge of any default by the Borrower or the Guarantors in the fulfillment of any of the terms, covenants, provisions or conditions of this Loan

Agreement relating to accounting matters which have not been cured, or, if such accountants shall have obtained knowledge of any such default or defaults and the nature thereof, they shall disclose the same; but such accountants shall not be liable directly or indirectly to anyone for failure to obtain knowledge of any default;

(iii) within 120 days after the last day of each fiscal year of the Borrower and the Guarantors a certificate of the Authorized Borrower Representative or of the President or the chief financial officer of the Borrower and the Guarantors, stating that the signer of the certificate has made a review of the activities of the Borrower and the

Guarantors during the preceding fiscal year for the purpose of determining whether or not each of the Borrower and the Guarantors has complied with all of the terms, provisions and conditions of this Loan Agreement and the Project Certificate and that to the best knowledge of such signer the Borrower and the Guarantors have kept, observed, performed and fulfilled each and every covenant, provision and condition of this Loan Agreement and the Project Certificate on its part to be performed and is not in default in the performance or observance of any of the terms, covenants, provisions or conditions hereof; or if the Borrower or the Guarantors shall be so in default such certificate shall specify all such defaults and the nature thereof of which the signer of the certificate shall have knowledge and the corrective action which the Borrower and/or the Guarantors is (are) undertaking or plans to undertake with respect thereto; and

(iv) such additional information as the Authority or the Trustee may reasonably request concerning the Borrower or the Guarantors in order to enable the Authority or the Trustee to determine whether the covenants, terms and provisions of this Loan Agreement have been complied with by the Borrower and the Guarantors and for that purpose all pertinent financial books, documents and vouchers (other than personnel records and such other records which the Borrower or the Guarantors are not permitted by law to disclose) relating to its business, affairs and properties shall at all times upon reasonable prior written notice and during regular business hours, or such other reasonable times as shall be agreed to by the Authority or the Trustee and the Borrower or the Guarantors, be open to the inspection of such accountant or other agent (who may make copies of all or any part thereof) as shall from time to time be designated and compensated by the Authority or the Trustee.

Without limiting the foregoing provisions of this Section 9.4, the Borrower and the Guarantors will permit the Authority and the Trustee (or such persons as the Authority or the Trustee may designate) to visit and inspect, at the expense of the Authority or the Trustee, as the case may be, any of the properties of the Borrower and the Guarantors and to discuss the affairs, finances and accounts of the Borrower and the Guarantors with its trustees, officers and independent accountants, all upon reasonable prior written notice and during regular business hours or at such other reasonable times as shall be agreed to by the Authority or the Trustee and the Borrower and the Guarantors as often as the Authority or the Trustee may reasonably desire.

Section 9.5. *Transfer of Bond Financed Property.* The Borrower covenants and agrees that it will not sell, lease or otherwise dispose of any of its property except as otherwise permitted hereunder. The foregoing notwithstanding, the Borrower covenants and agrees that it will not sell, lease or otherwise dispose (including without limitation any involuntary disposition), directly or indirectly, in whole or in part, of the Bond Financed Property except in accordance with Section 2.4 of the Tax Exemption Agreement.

Section 9.6.

Discharge of Orders, Etc. The Borrower covenants to cause any order,

writ or warrant of attachment, garnishment, execution, replevin or similar process filed against any part of the funds or accounts held by the Trustee under the Trust Indenture to be discharged, vacated, bonded or stayed within 90 days after such filing (which 90-day period shall be extended for so long as the Borrower is contesting such process in good faith), but, notwithstanding the foregoing, in any event not later than five days prior to any proposed

execution or enforcement with respect to such filing or any transfer of moneys or investments pursuant to such filing.

Section 9.7.

Merger, *Dissolution and Disposition of Property.* The Borrower covenants that it will maintain its corporate existence and will not dissolve or otherwise dispose of (in a single transaction or in a series of related transactions) all or a substantial part of its property, and will not permit one or more other Borrowers to consolidate with or merge with it, unless:

(i) the Borrower surviving such consolidation or merger or to whom such property is conveyed (the "Surviving Borrower") is a Tax-Exempt Organization;

(ii) the Surviving Borrower expressly assumes in writing all of the obligations of the Borrower under this Loan Agreement;

(iii) the Surviving Borrower has unrestricted net assets equal to or greater than that of the Borrower immediately prior to such merger, consolidation or transfer of property;

(iv) at the time of such merger, consolidation or transfer, no event of default referred to in Section 10.1 hereof shall have occurred and be continuing and no event shall have occurred and be continuing which with the lapse of time or giving of notice or both would constitute such an event of default;

(v) such merger, consolidation or conveyance will not adversely affect any

exemption from federal income taxation to which interest on the Series 2008 Bonds would otherwise be entitled;

(vi) the Surviving Borrower is qualified to do business in the State of Illinois;

(vii) no litigation is pending against the other party to such proposed merger, consolidation or transfer of property except litigation in which the probable recovery, and the estimated costs and expenses of defense, in the opinion of Independent Counsel, either (a) will be within the coverage of existing insurance policies of the Surviving Borrower or (b) will not be material to the operations or financial position of the Surviving Borrower; and

(viii) the Trustee and the Authority shall receive such certifications and documentation as they may reasonably request.

Prior to such merger, consolidation or transfer of property, the Borrower shall deliver to the Authority and the Trustee a certificate signed by the Authorized Borrower Representative or by its President and its Chief Financial Officer stating that all of the foregoing conditions have been satisfied and that such merger, consolidation or transfer of property does not violate, and is not inconsistent with, any of the terms, covenants and provisions of the Project Certificate and the Tax Exemption Agreement, which certificate shall be supported: as to paragraph (iii) above, by a report or opinion signed by its independent certified public accountants; as to paragraphs (i), (ii), (iv), (vi) and (vii) above, by an opinion of Independent Counsel; and as to paragraph (v) above, by an Opinion of Bond Counsel.

In addition to other permitted mergers, consolidations and transfers of property, the Borrower may transfer its property to another Tax-Exempt Organization the sole members of which are the Guarantors so long as each of the requirements set forth in this Section 9.7 are satisfied.

Notwithstanding the foregoing provisions of this Section 9.7, the Borrower may dispose of a substantial part of its property if and to the extent that (a) such disposition is for fair market value, as determined by the Board, (b) the proceeds of such disposition are invested by the Borrower within six months thereafter, or within a reasonable period of time under the circumstances, in other assets which will be used in connection with the operations of the Borrower or invested in reasonable and prudent investments as directed in good faith by the Board or for other valid corporate purposes, (c) such disposition does not have a materially adverse effect on the ability of the Borrower to meet its obligations hereunder and (d) such disposition does not violate, and is not inconsistent with, any of the terms, covenants and provisions of the Project Certificate and the Tax Exemption Agreement.

As used herein, a "substantial part" of the property of the Borrower shall mean 10% or more of the Total Value of all property of the Borrower in any fiscal year, whether or not reflected as assets on the financial statements of the Borrower.

"*Total Value*" means, with respect to the property of the Borrower at any time, the sum of (i) with respect to property reflected as an asset on the financial statements of the Borrower, the Book Value of such property, plus (ii) with respect to property not reflected as an asset on the financial statements of the Borrower, the fair market value of such property, as reasonably determined by the Board, or if such a determination cannot be made, the aggregate amount at which the Borrower has most recently valued such property for insurance purposes. For purposes of determining the value of property sold or otherwise disposed of by the Borrower in any fiscal year, property reflected as an asset on the financial statements of the Borrower shall be valued at the Book Value thereof, and property not reflected as an asset on the financial statements of the Borrower shall be valued at the fair market value of such property, as reasonably determined by the Board, or if such a determination cannot be made, at the aggregate amount at which the Borrower has most recently valued such property for insurance purposes.

Section 9.8. Taxes, *Charges* and *Assessments*. The Borrower agrees to pay promptly, as and when the same shall become due and payable, each and every lawful cost, expense and obligation of every kind and nature, foreseen or unforeseen, for the payment of which the Authority or the Borrower is or shall become liable by reason of its estate or interest in the Project or in any portion thereof, or by reason of or in any manner connected with or arising out of the possession, operation, maintenance, alteration, repair, rebuilding, use or occupancy of the Project or any part thereof. The Borrower also agrees to pay and discharge, promptly as and when the same shall become due and payable, all lawful real estate taxes, personal property taxes, business and occupation taxes, occupational license taxes, assessments for public improvements or benefits and all other lawful governmental taxes, impositions and charges of every kind and nature, ordinary or extraordinary, general or special, foreseen or unforeseen, whether similar or dissimilar to any of the foregoing, and all applicable interest and penalties thereon, if any, which at any time shall be or become due and payable and which shall be lawfully levied, assessed or imposed upon or with respect to, or which shall be or become liens

upon, the Project or any portion thereof or any interest of the Borrower therein. The Borrower also agrees to pay or cause to be paid all lawful charges for gas, water, sewer, electricity, light, heat, power, telephone and other utility and service used, rendered or supplied to, upon or in connection with the Project.

The Borrower shall have the right in good faith and by appropriate proceeding to dispute or contest the validity or amount of any such tax, assessment, governmental charge or utility charge, and during the pendency of any such dispute or contest, the Borrower shall not be deemed to be in default under this Section 9.9 by reason of its failure to have paid the disputed or contested amount.

Section 9.9.

Compliance with *Orders, Ordinances, Etc.* The Borrower will, at its sole cost and expense comply with all applicable present and future laws, ordinances, orders, decrees, rules, regulations and requirements of every duly constituted governmental authority, commission and court and the officers thereof of which it has notice, the failure to comply with which would materially and adversely affect the operations, properties or financial condition of the Borrower taken as a whole or which may be applicable to the Bond-Financed Properties or to the repair and alteration thereof, or to the use or manner of use of the Bond-Financed Properties, including, but not limited to the Americans with Disabilities Act, the Illinois Accessibility Code, all federal, state and local environmental and health and safety laws, rules, regulations and orders applicable to or pertaining to the Bond-Financed Properties, the Federal Worker Adjustment and Retraining Notification Act and the Prevailing Wage Act.

Section 9.10. Permitted Contests. The Borrower shall not be required to pay any tax, charge, fee, rate, assessment or imposition required to be paid under Section 9.8 hereof, or to comply with any law, ordinance, rule, order, decree, regulation or requirement referred to in Section 9.10 hereof, so long as **the** Borrower shall in good faith and at its cost and expense contest the amount or validity thereof, or take other appropriate action with respect thereto, in an appropriate manner or by appropriate proceedings which shall operate during the pendency thereof to prevent (i) the collection of or other realization upon the tax, fee, rate, assessment, imposition or charge, so contested, (ii) the sale, forfeiture or loss of its property or any part thereof to satisfy the same or (iii) any materially adverse effect on the use, occupancy or condition of the Borrower's property taken as a whole; provided that no such contest or action shall subject the Authority or the Trustee to any liability unless the Borrower properly indemnifies the Authority or the Trustee, as the case may be. While any such matters are pending, the Borrower shall have the right to pay, remove or cause to be discharged or marked exempt the tax, and assessment, imposition or charge being contested. Each such contest shall be promptly prosecuted to final conclusion or settlement, and the Borrower will pay, and save the Authority and the Trustee harmless against, all losses, judgments, decrees and costs (including attorneys' fees and expenses in connection therewith) and will, promptly after the final determination or settlement of such contest or action, pay and discharge the amounts which shall be levied, assessed or imposed or determined to be payable therein, together with all penalties, fines, interests, costs and expenses thereon or in connection therewith.

Section 9.11. *Continuing* Disclosure *Requirements*. The Borrower and the Guarantors covenant that they will comply with the terms of any continuing disclosure agreement entered into in compliance with Rule 15c2-12 of the Securities Exchange Act of 1934, as amended.

However, a breach of this covenant will not create an event of default under this Loan Agreement or the Trust Indenture.

Section 9.12. Insurance and *Annual Certificate*. The Borrower shall maintain, or cause to be maintained at its sole cost and expense, insurance with respect to its property, the operation thereof and its business against such casualties, contingencies and risks (including but not limited to public liability and employee dishonesty) and in amounts not less than is customary in the case of entities engaged in the same or similar activities and similarly situated and as is adequate to protect its property and operations. In addition, the Trustee shall be named as an additional insured on all casualty policies. The Borrower shall annually review the insurance it maintains as to whether such insurance is customary and adequate. In addition, the Borrower shall at least once every two Fiscal Years with respect to commercial insurance and at least once every Fiscal Year with respect to self-insurance (commencing with its Fiscal Year beginning January 1, 2008) cause a certificate of an Insurance Consultant to be delivered to the Trustee which indicates that the insurance then being maintained by the Borrower is customary in the case of entities engaged in the same or similar activities and similarly situated and is adequate to protect the Borrower's property and operations. The Borrower shall cause copies of its review, or the certificates of the Insurance Consultant, as the case may be, to be delivered promptly to the Trustee. The Borrower may self-insure if the Insurance Consultant determines that such self-insurance meets the standards set forth in the first sentence of this paragraph and is prudent under the circumstances. The Borrower will furnish to the Authority and to the Trustee on or before January 31 of each year, a certificate of the Borrower signed by the Borrower's Representative setting forth that the Borrower has made a review of its activities during the preceding calendar year for the purpose of determining whether or not the Borrower has complied with all of the terms, provisions and conditions of this Loan Agreement and the Borrower has kept, observed, performed and fulfilled each and every covenant, provision and condition of this Loan Agreement on its part to be performed and is not in default in the performance or observance of any of the terms, covenants, provisions or conditions hereof, or if the Borrower shall be in default such certificate shall specify all such defaults and the nature thereof.

Section 9.13. Reports on *Employment* at *the Project*. On or before October 1 in each calendar year, the Borrower shall deliver to the Authority a written report (which may be prepared in reliance upon information furnished by any manager at the time engaged by the Borrower with respect to the Project) setting forth the number of workers, on a full-time- equivalent basis, employed at the Project ending on June 30 of that calendar year.

Section 9.14. Nature of *Project and Public Purpose*. The Borrower will use the proceeds of the Bonds to finance the Project substantially as described within this Loan Agreement, and the Tax Exemption Agreement.

The Borrower further represents it intends to employ approximately 3 persons on an annual full-time equivalent basis and approximately 50 persons during the construction phase. It covenants that it will use its best efforts to so employ such persons during the terms of this Loan Agreement.

The Borrower further covenants and agrees that during the period beginning on the date of

issuance of the Bonds and ending upon the termination of this Loan Agreement, the Borrower,

at the request of the Authority, will (1) furnish a report, in a form satisfactory to the Authority, containing information relating to the financing of the Project, including, but not limited to, the number and types of jobs which have been created or retained as a result of the financing of the Project, and (2) upon reasonable notice, permit a duly authorized agent of the Authority to enter upon and inspect the Project during regular business hours and to examine and copy at the principal office of the Borrower all books, records and other documents of the Borrower relating to the number and types of jobs at the Project.

The Project is located within the planning and subdivision control jurisdiction of the Village of Northbrook, Illinois, Cook County, Illinois.

The Authority shall be under no obligation to take any action or execute, prepare or deliver any instrument or document until it shall have received assurances satisfactory to it that the Borrower or the Trustee shall pay in advance or reimburse it (at the Authority's option) for its reasonable expenses incurred or to be incurred in connection with the taking of such action (including reasonable attorneys' fees) and shall be indemnified against any possible liability arising out of the taking of such action.

Section 9.15. Indemnification of Authority and Trustee.

(1) The Borrower will pay, and will protect, indemnify and save the Authority and Bond Trustee and its respective past, present and future members, officers, directors, employees, agents, successor, assigns and any other person, if any, who "controls" the Authority or Bond Trustee, as the case may be, as that term is defined in Section 15 of the Securities Act of 1933, as amended (the Authority, the Bond Trustee and the other listed persons, collectively referred to as, the "Indemnified Persons") harmless from and against any and all liabilities, losses, damages, taxes penalties, costs and expenses (including attorneys' fees and expenses of the Authority and Bond Trustee), causes of action, suits, proceedings, claims, demands, tax reviews, investigations and judgments of whatsoever kind and nature (including, but not limited to, those arising or resulting from any injury to or death of any person or damage to property) arising from or in any manner directly or indirectly growing out of or connected with the following:

(i) the use, financing, non-use condition or occupancy of the Project, any repairs, construction, alterations, renovation, relocation, remodeling and equipping thereof or thereto or the condition of any such Project including adjoining sidewalks, streets or alleys and any equipment or facilities at any time located on or connected with such Project or used in connection therewith but which are not the result of the gross negligence of the Authority or Bond Trustee;

(ii) a violation of any agreement, warranty, covenant or condition of this Loan Agreement or any other agreement executed in connection with this Loan Agreement;

(iii) a violation of any contract, agreement or restriction by the Borrower relating to its Project;

(iv) a violation of any law, ordinance, rules, regulation or court order affecting the Project or the ownership, occupancy or use thereof or the Bonds or use of the proceeds thereof;

(v) any statement or information concerning the Borrower, any of its officers and members, its operations or financial condition generally or the Project, contained in any official statement or supplement or amendment thereto furnished to the Authority or the purchaser of any Bonds, that is untrue or incorrect in any material respect, and any omission from such official statement or any statement or information which should be contained therein for the purpose for which the same is to be used or which is necessary to make the statements therein concerning the Borrower, any of its officers and members

and the Project not misleading in any material respect, provided that such official statement or supplement or amendment has been approved by the Borrower and the Indemnified Persons did not have actual knowledge of the omission or misstatement; and

(vi)

with respect to the Authority only, the acceptance or administration of the Trust Indenture, including without limitation the enforcement of any remedies under the Trust Indenture and related documents.

(ii) In case any claim shall be made or any action shall be brought against one or more the Indemnified Persons in respect of which indemnity can be sought against the Borrower pursuant to either of the preceding paragraphs (a), the Indemnified Party seeking indemnity shall promptly notify the Borrower, in writing, and the Borrower shall promptly assume the defense thereof, including the employment of counsel chosen by the Borrower and approved by the Authority or Bond Trustee, or both (provided, that such approval by the Authority or Bond Trustee shall not be unreasonably withheld), the payment of all expenses and the right to negotiate and consent to settlement. If any Indemnified Person is advised in a written opinion of counsel that there may be legal defenses available to such Indemnified Person which are adverse to or in conflict with those available to the Borrower or that the defense of such Indemnified Person should be handled by separate counsel, the Borrower shall not have the right to assume the defense of such Indemnified Person, but the Borrower shall be responsible for the reasonable fees and expenses of counsel retained by such Indemnified Person in assuming its own defense, and provided also that, *if* the Borrower shall have failed to assume the defense of such action or to retain counsel reasonably satisfactory to the Authority or Bond Trustee within a reasonable time after notice of the commencement of such action, the reasonable fees and expenses of counsel retained by the Indemnified Person shall be paid by the Borrower. Notwithstanding the foregoing, any one or more the Indemnified Persons shall have the right to employ separate counsel with respect to any such claim or in any such action and to participate in the defense thereof, but the fees and expenses of such counsel shall be paid by such Indemnified Person unless the employment of such counsel has been specifically authorized by the Borrower or unless the employment of such counsel has been specifically authorized by the Borrower or unless the provisions of the immediately preceding sentence are applicable. The Borrower shall not be liable for any settlement of any such action affected without the consent of the Borrower, but if settled

with the consent of the Borrower or if there be a final judgment for the plaintiff in any such action with or without consent, the Borrower agrees to indemnify and hold harmless the Indemnified Person from and against any loss, liability or expense by reason of such settlement or judgment.

(iii) The Borrower shall also indemnify the Authority, Bond Trustee and such Indemnified Persons for all reasonable costs and expenses, including reasonable legal counsel fees and

expenses, incurred in: (i) enforcing any obligation of the Borrower under this Loan Agreement or any related agreement, (ii) taking any action requested by the Borrower, (iii) taking any action required by this Loan Agreement or any related agreement, or (iv) taking any action considered necessary by the Authority and which is authorized by this Loan Agreement or any related agreement.

(iv) All amounts payable to the Authority under this Section shall be deemed to be fees and expenses payable to the Authority for the purposes of the provisions hereof and of the Trust Indenture dealing with assignment of the Authority's rights hereunder. The Authority ad its members, officers, agents, employees and their successors and assigns shall not be liable to the Borrower for any reason.

(v) Any provision of this Loan Agreement or any other instrument or document executed and delivered in connection therewith to the contrary notwithstanding, the Authority retains the right to (i) enforce any applicable federal or state law or regulation or ordinance of the Authority and (ii) enforce any rights accorded the Authority by federal or state law or regulation or ordinance of the Authority, and nothing in this Loan Agreement shall be construed as an express or implied waiver thereof.

Section 9.16. *Damage* or Destruction. The Borrower agrees to notify the Trustee immediately in the case of the destruction of its Facilities or any portion thereof as a result of fire or other casualty, or any damage to such Facilities or portion thereof as a result of fire or other casualty, the Net Proceeds of which are estimated to exceed $500,000.

In the event such Net Proceeds are greater than $500,000, the Borrower shall within 12 months after the date on which the Net Proceeds are finally determined elect by written notice of such election to the Trustee one of the following three options, subject to the approval of the Trustee (which approval may not be unreasonably withheld):

(i) Option *A-Repair* and *Restoration*. The Borrower may elect to replace, repair, reconstruct, restore or improve any of the Facilities of the Borrower or acquire additional Facilities for the Borrower or repay Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds. In such event an amount equal to the Net Proceeds of any insurance relating thereto shall be deposited, when received, with the Trustee and the Borrower shall proceed forthwith to replace, repair, reconstruct, restore or improve Facilities of the Borrower or to acquire additional Facilities and will apply the Net Proceeds of any insurance relating to such damage or destruction received from the Trustee to the payment or reimbursement of the costs of such replacement, repair, reconstruction, restoration, improvement or acquisition or to the repayment of such

Indebtedness. So long as the Borrower is not in default hereunder, any Net Proceeds of insurance relating to such damage or destruction received by the Trustee shall be released from time to time by the Trustee to the Borrower upon the receipt by the Trustee of:

(i)

the Written Request of the Borrower specifying the expenditures made or to be made or the Indebtedness incurred in connection with such replacement, repair, reconstruction, restoration, improvement or acquisition and stating that such Net Proceeds, together with any other moneys legally available for such purposes, will be sufficient to complete such replacement, repair, reconstruction, restoration, improvement or acquisition; and

(ii) if such expenditures were or are to be made or such Indebtedness was incurred for the construction or renovation of Facilities, the written approval of such Written Request by an Independent Architect, if an Independent Architect has been hired in connection with such construction or renovation.

It is further understood and agreed that in the event the Borrower shall elect this Option A, the Borrower shall complete the replacement, repair, reconstruction, restoration, improvement and acquisition of the Facilities, whether or not the Net Proceeds of insurance received for such purposes are sufficient to pay for the same.

(ii) *Option B-Prepayment of the Loan*. The Borrower may elect to have all of the Net Proceeds payable as a result of such damage or destruction applied to the prepayment of the Loan. In such event the Borrower shall, in its notice of election to the Trustee, direct the Trustee to apply such Net Proceeds, when and as received, to the prepayment of the Loan.

(iii) *Option C-Partial Restoration* and *Partial* Prepayment *of the Loan*. The Borrower may elect to have a portion of such Net Proceeds applied to the replacement, repair, reconstruction, restoration and improvement of the Facilities of the Borrower or the acquisition of additional Facilities for the Borrower or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds with the remainder of such Net Proceeds to be applied to prepay the Loan, in which event such Net Proceeds to be used for replacement, repair, reconstruction, restoration, improvement and acquisition shall be applied as set forth in subparagraph (a) of this Section 9.17 and such Net Proceeds to be used for prepayment of the Loan shall be applied as set forth in subparagraph (b) of this Section.

Section 9.17. *Condemnation.* The Trustee shall cooperate fully with the Borrower in the handling and conduct of any prospective or pending condemnation proceedings with respect to its Facilities or any part thereof. The Borrower hereby irrevocably assigns to the Trustee, as its interests may appear, all right, title and interest of the Borrower in and to any Net Proceeds of any award, compensation or damages payable in connection with any such condemnation or taking, or payment received in a sale transaction consummated under threat of condemnation (any such award, compensation, damages or payment being hereinafter referred to as an "award"), which exceeds $500,000.

In the event such Net Proceeds exceed $500,000, the Borrower shall within 12 months after the date on which the Net Proceeds are finally determined elect by written notice of such election to the Trustee one of the following three options, subject to the approval of the Trustee (which approval may not be unreasonably withheld):

(i)

Option A-*Repairs and Improvements*. The Borrower may elect to use the Net Proceeds of the award for restoration or replacement of or repairs and improvements to the Facilities of the Borrower or the acquisition of additional Facilities for the Borrower or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds. In such event, so long as the Borrower is not in default hereunder, the Borrower shall have the right to receive such Net Proceeds from the Trustee from time to time upon the receipt by the Trustee of:

(i) the Written Request of the Borrower specifying the expenditures made or to be made or the Indebtedness incurred in connection with such restoration, replacement, repairs, improvements and acquisitions and stating that such Net Proceeds, together with any other moneys legally available for such purposes, will be sufficient to complete such restoration, replacement, repairs, improvements and acquisition; and

(ii) if such expenditures were or are to be made or such Indebtedness was incurred for the construction or renovation of Facilities, the written approval of such Written Request by an Independent Architect, if an Independent Architect has been hired in connection with such construction or renovation.

(ii)

Option B-Prepayment of the Loan. The Borrower may elect to have such Net Proceeds of the award applied to the prepayment of the Loan. In such event the Borrower shall, in

its notice of election to the Trustee, direct the Trustee to apply such Net Proceeds, when and as received, to the prepayment of the Loan.

(iii) *Option C-Partial Restoration and Partial Prepayment of the Loan*. The Borrower may elect to have a portion of such Net Proceeds of the award applied to the repair, replacement, restoration and improvement of the Facilities of the Borrower or the acquisition of additional Facilities for the Borrower or the repayment of Indebtedness incurred for any such purpose pending the receipt of such Net Proceeds, with the remainder of such Net Proceeds to be applied to the prepayment of the Loan, in which event such Net Proceeds to be used for repair, replacement, restoration, improvement and acquisition shall be applied as set forth in subparagraph (a) of this Section 9.18 and such Net Proceeds to be used for prepayment of the Loan shall be applied as set forth in subparagraph (b) of this Section.

Section 9.18. Other *Provisions with Respect to Net Proceeds*. Amounts received by the Trustee in respect of any awards shall, at the Written Request of the Borrower, be deposited with the Trustee in a special trust account and be invested or reinvested by the Trustee as directed in writing by the Borrower in Qualified Investments subject to the Borrower's right to receive the same pursuant to Sections 9.17 and 9.18 hereof. If the Borrower elects to proceed under either Section 9.17(a) or (c) or 9.18(a) or (c), any amounts in respect of such Net Proceeds not so paid

to the Borrower shall be used to prepay the Loan. Notwithstanding anything herein to the contrary, any moneys on deposit with the Trustee shall be invested in accordance with, and subject to the terms of, the Tax Exemption Agreement to the extent applicable.

Section 9.19. *Permitted Additional Indebtedness*. So long as the Bonds are outstanding, the Borrower will not incur any Indebtedness other than (A) Funded Indebtedness, if prior to incurrence thereof there is delivered to the Trustee an Officer's Certificate of the Borrower certifying that the Maximum Annual Debt Service Coverage Ratio of the Borrower for each of the two most recent Fiscal Year preceding the date of delivery of the report for which financial statements reported upon by independent certified public accountants are available was not less than 1.25; (B) Indebtedness consisting of accounts payable incurred in the ordinary course of business or other Indebtedness not incurred or assumed primarily to assure the repayment of money borrowed or credit extended which Indebtedness is incurred in the ordinary course of business and (C) Indebtedness in connection with the issuance of Additional Bonds under the Indenture.

The Borrower covenants that Indebtedness of the type permitted to be incurred under subsection (B) above will not be allowed to become overdue for a period in excess of that which is ordinary for similar institutions without being contested in good faith and by appropriate proceedings.

For the purposes of the various calculations required under this Loan Agreement, the Capitalized

Rentals under a Capitalized Lease at the time of such calculation shall be deemed to be the principal payable thereon.

Section 9.20. Sale, Lease, Transfer or *Other Disposition of Property*. The Borrower agrees that it will not, in any consecutive 12-month period, sell, lease or otherwise dispose (including without limitation any involuntary disposition) of property totaling more than 1% of the total property of the Borrower. Notwithstanding the foregoing, the Borrower shall be permitted to make transfers or other dispositions of property:

(i) In return for other property of equal or greater value and usefulness;

(ii) To any Person, if prior to such sale, lease or other disposition there is delivered to the Trustee an Officer's Certificate of the Borrower stating that, in the judgment of the signer, such property has, or within the next succeeding 24 calendar months is reasonably expected to, become inadequate, obsolete, worn out, unsuitable, unprofitable, undesirable or unnecessary and the sale, lease or other disposition thereof will not impair the structural soundness, efficiency or economic value of the remaining property;

(iii) Upon fair and reasonable terms no less favorable to the Borrower than would be obtained in a comparable arm's-length transaction;

Notwithstanding the foregoing, leases to or agreements for use of the Bond Financed Property to Qualified Tenants shall always be permitted under the Loan Agreement.

The foregoing provisions of this Section notwithstanding, the Borrower further agrees that it will not sell, lease, donate or otherwise dispose of property which could reasonably be expected to result in an event of default hereunder.

The Borrower covenants and agrees it will not sell, lease or otherwise dispose of any of its property except as permitted by the Loan Agreement. The Borrower further covenants and agrees that it will not sell, lease or otherwise dispose (including without limitation any involuntary disposition), directly or indirectly, in whole or in part, of in excess of 3% in the aggregate of the Bond Financed Property financed or refinanced with the proceeds of the Bonds (which percentage shall be reduced to the extent property financed, refinanced or reimbursed with the proceeds of the Bonds, is being used in an Unrelated Trade or Business or by a Private User), unless: (a) prior to such sale, lease or other disposition there is delivered to the Trustee an Officer's Certificate of the Borrower stating that, in the judgment of such officer, such property has become inadequate, obsolete or worn out and that any amounts received by the Borrower upon such disposition have been or shall be applied by the Borrower to acquire additional property constituting an "commercial facility" under the Act; or (b) prior to such sale, lease or disposition, the Borrower delivers to the Trustee and the Authority an Opinion of Bond Counsel to the effect that any such disposition in excess of the applicable percentage will not adversely affect the validity of the Bonds or any exemption of the interest paid on the Series 2008 Bonds from federal income taxation to which such Series 2008 Bonds would otherwise be entitled. Use by a Private User for purposes of the foregoing sentence includes any use pursuant to a service contract that does not comply with Internal Revenue Service Revenue Procedures 97-13, 1997-1 C.B. 632 as amended and supplemented by Revenue Procedure 2001-39, 2001-28 I.R.B.1 (or any subsequent legislative, regulatory, or administrative pronouncement to Revenue Procedure 97-13, if applicable to the Series 2008 Bonds) ("Rev. Proc. 97-13") and 97-14, 1997-1 C.B. 634 (or any subsequent legislative, regulatory, or administrative pronouncement to Revenue Procedure 97-14, if applicable to the Series 2008 Bonds) ("Rev. Proc. 97-14"). The Borrower hereby agrees to apply, as soon as practicable, the proceeds of any disposition referred to in an Officer's Certificate of the type described in subsection (a) above as provided in such subsection and agrees that any property acquired with such proceeds shall be deemed to be property financed or refinanced with the proceeds of the Bonds for the purpose of applying the provisions of the Loan Agreement. The amount of property disposed of will be calculated in accordance with the provisions of the Loan Agreement.

Section 9.21. *Liens on Property*. The Borrower agrees to keep its property free and clear of all Liens which are not Permitted Encumbrances.

Section 9.22. *Further Assurances; Additional Property.*

(i) The Borrower will do, execute, acknowledge and deliver, or cause to be done, executed, acknowledged and delivered, all such further acts, deeds, conveyances, mortgages,

assignments, transfers and assurances as the Trustee reasonably may require for the better assuring, assigning and confirming unto the Trustee, its successors and assigns, all and singular the security granted hereunder, if any (the "trust estate").

(ii) All right, title and interest of the Borrower in and to all improvements, betterments, renewals, substitutions and replacements of the property constituting the

"trust estate" or any part thereof, hereafter acquired by the Borrower, immediately upon such acquisition, and without any further mortgaging, conveyance or assignment, shall become and be part of the "trust estate" and shall be subject, if applicable to property of such type, to the security interest of this Loan Agreement and/or any subsequently created liens and security interest securing the Loan as fully and completely and with the same effect as though owned by the Borrower at the time this Loan Agreement was executed or any and all such other liens and security interests were created, but at any and all times the Borrower will execute and deliver to the Trustee any and all such further assurances, mortgages, conveyances or assignments thereof and other instruments with respect thereto as the Trustee may reasonably require for the purpose of expressly and specifically subjecting the same to the security interest of the Loan Agreement or such other subsequently created liens and security interests.

Section 9.23. ERISA. The Borrower shall not with respect to any "employee pension benefit plan" (as defined in Section 3 of ERISA) maintained by it (i) engage in any "prohibited transaction" (as defined in Section 4975 of the Code) which is not an "exempt prohibited transaction", (ii) permit any such plan to incur any "accumulated funding deficiency" (as defined in Section 302 of ERISA) unless waived by the appropriate governmental agencies, or (iii) cause any such plan to terminate in a manner which could result in the imposition of a lien or encumbrance on the assets of the Borrower pursuant to Section 4068 of ERISA.

Section 9.24. Application of Certain Gifts. The Borrower hereby recognizes that it may receive from time to time gifts, grants, donations, bequests or other charitable contributions, regardless of the form or the source thereof, the proceeds of which when received by the Borrower are legally restricted to the payment of the costs of all or a portion of the Bond Financed Properties (hereinafter referred to as "Restricted Gifts"). Subject to the provisions of the last two sentences of this Section, the Borrower hereby covenants and agrees that if and when the Borrower receives any Restricted Gifts that are legally restricted to the payment of the costs of the Project ("Project Restricted Gifts"), prior to the delivery of the Completion Certificate, the Borrower will transfer the Excess (as hereinafter defined), if any, to the Trustee as soon as practicable after such Excess becomes available to the Borrower for such purposes, for deposit into the Project Fund to be used to pay costs of the Project. The Borrower acknowledges that upon deposit into the Project Fund, the Excess is subject to the restrictions contained

in the Tax Exemption Agreement with respect to amounts on deposit in the Project Fund, and such amount will constitute "Gross Proceeds" as such term is defined in the Tax Exemption Agreement. The Borrower further covenants and agrees that if and when the Borrower receives any Project Restricted Gifts, after delivery of the Completion Certificate or any other Restricted Gifts, the Borrower will transfer the Excess (as hereinafter defined) to the Trustee for the redemption of Series 2008 Bonds in accordance with the terms of the Trust Indenture (the "Redemption"); provided, however, that in connection with such Redemption the Borrower may direct the Trustee to deposit the Excess into the Optional Redemption Fund and invest such Excess at a rate not in excess of the Yield (as defined in the Tax Exemption Agreement) on the Series 2008 Bonds until such time as the Series 2008 Bonds may be redeemed in accordance with Section 5.1 of the Trust Indenture at a redemption price equal to 100% of the principal amount thereof plus accrued interest to the redemption date. The amount of any Project Restricted Gifts or other Restricted Gifts to be so transferred on any date to the Project Fund or to the Trustee for the redemption of Series 2008 Bonds shall be equal to the excess, if any, of (a) the aggregate amount

of Project Restricted Gifts or other Restricted Gifts, received by the Borrower as of such date over (b) the aggregate amount of moneys not obtained through the issuance of the Series 2008 Bonds with respect to Project Restricted Gifts, which, in each case, the Borrower has applied, or intends to apply based on then-current estimates, to payment of costs of the Project or other Bond Financed Properties, as the case may be (the "Excess"). The proceeds of any such Restricted Gifts need not be so applied until the aggregate amount thereof held by the Borrower at any time and not previously so applied is at least $100,000.

The Borrower shall transfer any Excess relating to Project Restricted Gifts received prior to delivery of the Completion Certificate in accordance with the preceding paragraph to the Trustee for deposit into the Project Fund only if the Borrower provides the Trustee with a certification prior to such transfer stating that such Excess is being deposited and retained in the Project Fund to pay potential cost overruns on the Project that are not then known but which the Borrower reasonably believes could arise prior to the completion of the Project. Any Project Restricted Gifts constituting an Excess received prior to delivery of the Completion Certificate in accordance with the preceding paragraph with respect to which such a certification cannot be so provided to the Trustee shall be used to effect a redemption of Bonds.

The Borrower may apply the proceeds of Restricted Gifts in a manner that varies from the requirements set forth above under this Section 9.25 if the Borrower delivers to the Authority and the Trustee an opinion of Bond Counsel to the effect that such application will not adversely affect the validity of the Bonds or the exemption of the interest on the Series 2008 Bonds from federal income taxation under the Code.

Section 9.25. *Notice Regarding Bankruptcy* Petitions, Events *of Default* or *Potential*

Default. The Borrower agrees to notify the Trustee and the Authority in writing prior to any filing by it of a petition in bankruptcy and to notify the Trustee and the Authority immediately by telephone and in writing as soon as reasonably practicable when it obtains knowledge that a petition in bankruptcy has been filed against the Borrower or of an event of default or event but for the passage of time or giving of notice, or both, would constitute an event of default under this Loan Agreement.

Section 9.26. Lease to Qualified *Tenants*. The Borrower shall only lease the Bond Financed Property to, or allow the Bond Financed Property to be used by, entities which are Qualified Tenants; provided that it may lease Bond Finance Property to, or allow Bond Financed Property to be used by, an entity which is not a Qualified Tenant if it provides the Trustee with an Opinion of Bond Counsel to the effect that such lease or use will not adversely affect the exclusion of interest on the Bonds from the federal gross income of the owners thereof.

ARTICLE X

EVENTS OF DEFAULT AND REMEDIES THEREFOR

Section 10.1. *Events of* Default. The occurrence and continuance of any of the following events shall constitute an "event of default" hereunder:

(i) failure by the Borrower to make any other payment required by Section 7.1 hereof for the payment of the Bonds when the same shall become due and payable, whether upon a scheduled Interest Payment Date, at Maturity, upon any date fixed for prepayment or purchase, by acceleration or otherwise; or failure of the Borrower to make any payments required by the Tax Exemption Agreement and the continuance of such failure for five days; or

(ii) failure of the Borrower to comply with or perform any of the covenants, conditions, or provisions hereof (other than those specifically identified in clauses (a) or (i) of this Section 10.1) or of the Tax Exemption Agreement and to remedy such default within 30 days after written notice thereof from the Authority to the Borrower; provided that, if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Borrower to remedy such default within such 30-day period shall not constitute a default hereunder if the Borrower shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch; or

(iii)

if any representation or warranty made by the Borrower herein or in any statement or certificate furnished to the Authority or the Trustee or the purchaser of any Bonds in connection with the sale of the Bonds or furnished by the Borrower pursuant hereto proves untrue in any material respect as of the date of the issuance or making thereof and shall not **be** made good within 30 days after written notice thereof by the Authority to the Borrower; provided that, if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Borrower to remedy such default within such 30-day period shall not constitute a default hereunder if the Borrower shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch; or

(iv) any event of default shall occur which would permit the acceleration of the payment of the Loan; or

(v)

if the Borrower admits insolvency or bankruptcy or its inability to pay its debts as they mature, or is generally not paying its debts as such debts become due, or makes an assignment for the benefit of creditors or applies for or consents to the appointment of a trustee, custodian or receiver for the Borrower, or for the major part of its property; or

(vi) if a trustee, custodian or receiver is appointed for the Borrower or for the major part of its property and is not discharged within 60 days after such appointment;

or

(vii) if bankruptcy, reorganization, arrangement, insolvency or liquidation proceedings, proceedings under Title 11 of the United States Code, as amended, or other proceedings for relief under any bankruptcy law or similar law for the relief of debtors are instituted by or against the Borrower (other than bankruptcy proceedings instituted by

the Borrower against third parties), and if instituted against the Borrower are allowed against the Borrower or are consented to or are not dismissed, stayed or otherwise nullified within 60 days after such institution; or

(viii) failure by the Borrower to comply with or perform its covenant under Section 9.7 of this Loan Agreement;

(ix) if payment of any installment of interest or principal, or any premium, on any Bond shall not be made when the same shall become due and payable under the provisions of the Trust Indenture; or

(x) default shall occur in the payment of the principal of or interest on any valid obligation of the Borrower for borrowed money, as and when the same shall become due, or under any valid mortgage, agreement or other instrument under or pursuant to which such indebtedness is issued, and such default shall continue beyond the period of grace, if any, allowed with respect thereto; provided, however, that a default in payment thereunder shall not constitute an "event of default" hereunder unless the unpaid principal amount of such indebtedness, together with the unpaid principal amount of all other indebtedness so in default, exceeds 1% of the unrestricted net assets of the Borrower as shown on or derived from the then latest available audited financial statements of the Borrower.

Upon the occurrence and during the continuance of any event of default hereunder, the Authority shall have the following rights and remedies, in addition to any other remedies herein or by law provided:

(i) *Acceleration* of *Maturity*; *Waiver* of Event *of Default and Rescission* of *Acceleration*. The Authority may, by written notice to the Trustee, request that it declare the Loan (if not then due and payable) to be due and payable immediately, anything in this Loan Agreement contained to the contrary notwithstanding.

(ii) Right to *Bring Suit*, *Etc.* The Authority, with or without entry, personally or by attorney, may in its discretion, proceed to protect and enforce its rights by pursuing any available remedy

including a suit or suits in equity or at law, whether for damages or for the specific performance of any obligation, covenant or agreement contained in this Loan Agreement or in aid of the execution of any power herein granted, or for the enforcement of any other appropriate legal or equitable remedy, as the Authority shall deem most effectual to collect the payments then due and thereafter to become due, to enforce performance and observance of any obligation, agreement or covenant of the Borrower hereunder to protect and enforce any of the Authority's rights or duties hereunder.

Section 10.2. *Application* of Proceeds *of Remedies*. The proceeds or avails resulting from the exercise of any such remedies, together with any other sums which then may be held by the Authority under this Loan Agreement, whether under the provisions of this Article or otherwise, and which are available for such application shall be applied as follows:

FIRST:

To the payment of the costs and expenses of the exercise of such remedies, including reasonable compensation to the Authority and the Trustee, their agents, attorneys and counsel, and the expenses of any judicial proceedings wherein the same may be made, and of all fees, expenses, liabilities and advances made or incurred by any thereof as permitted by this Loan Agreement, together with interest at the Trustee's announced prime rate per annum then in effect, on all such advances, and to the payment of all taxes, assessments or claims prior to the claim of this Loan Agreement, except any taxes, assessments, liens, or other charges, subject to which property may have been sold.

SECOND:

Exemption Agreement.

THIRD:

To the payment of any amounts then due and owing under the Tax

To the payment of the whole amount then due, owing and unpaid for principal, interest and premium, if any on the Bonds.

FOURTH: To the payment of any other sums required to be paid by the Borrower pursuant to any provisions of this Loan Agreement.

FIFTH:

To the payment of the surplus, if any, to the Borrower, its successors or assigns, upon the written request of the Borrower or to whomsoever may be lawfully entitled to receive the same upon its written request, or as any court of competent jurisdiction may direct.

Section 10.3. Remedies Cumulative. No remedy herein conferred upon or reserved to the

Authority is intended to be exclusive of any other remedy or remedies, and each and every such remedy shall be cumulative, and shall be in addition to every other remedy given hereunder or now or hereafter existing at law, in equity or by statute.

Section 10.4. *Delay or Omission Not a Waiver.* No delay or omission of the Authority to exercise any right or power accruing upon any event of default shall impair any such right or power, or shall be construed to be a waiver of any such event of default or an acquiescence therein; and every power and remedy given by this Loan Agreement to the Authority may be exercised from time to time and as often as may be deemed expedient by the Authority.

Section 10.5. *Waiver of Stay*, *Extension, Valuation and Appraisement and* Laws. To the extent permitted by law, the Borrower will not during the continuance of any event of default hereunder insist upon or plead, or in any manner whatever claim or take any benefit or advantage of, any stay or extension law wherever enacted, now or at any time hereafter in force, which may affect the covenants and terms of performance of this Loan Agreement; nor claim, take or insist upon any benefit or advantage of any law now or hereafter in force providing for the valuation or appraisement of the Borrower's Property, or any part thereof, prior to any sale or sales thereof which may be made pursuant to any provision herein contained, or pursuant to the decree, judgment or order of any court of competent jurisdiction; nor after any such sale or sales, claim or exercise any right under any statute heretofore or hereafter enacted by the United States of America or by any state or territory, or otherwise, to redeem the property so sold or any part thereof; and the Borrower hereby expressly waives all benefits or advantage of any such law or laws and covenants not to hinder, delay or impede the execution of any power herein granted or

delegated to the Authority, but to suffer and permit the execution of every power as though no such law or laws had been made or enacted.

Section 10.6. *Remedies Subject to Provisions of Law*. All rights, remedies and powers provided by this Article may be exercised only to the extent that the exercise thereof does not violate any applicable provision of the law of the State, and all the provisions of this Article are intended to be subject to all applicable mandatory provisions of the law of the State which may be controlling and to be limited to the extent necessary so that they will not render this Loan Agreement invalid or unenforceable under the provisions of any applicable law.

Section 10.7. Default *by Authority Limited Liability*. Notwithstanding any provision or obligation to the contrary hereinbefore set forth, no provision of this Loan Agreement shall be construed so as to give rise to a pecuniary liability of the Authority or to give rise to a charge upon the general credit of the Authority, the liability of the Authority hereunder shall be limited to its interest in this Loan Agreement, the Trust Indenture, and all other related documents and collateral and

the lien of any judgment shall be restricted thereto. In the performance of the agreements of the Authority herein contained, any obligation it may incur for the payment of money shall not be a debt of the Authority, nor shall the Authority be liable on any obligation so incurred. The Authority does not assume general liability for the repayment of the Bonds or for the costs, fees, penalties, taxes, interest, omissions, charges, insurance or any other payments recited herein, and shall be obligated to pay the same only out of the amounts payable by the Borrower hereunder. The Authority shall not be required to do any act whatsoever or exercise any diligence whatsoever to mitigate the damages to the Borrower if a default shall occur hereunder.

Section 10.8. No *Recourse* to *Authority.* The obligations of the Authority under this Loan Agreement are special, limited obligations of the Authority, payable solely out of the revenues and income derived under this Loan Agreement and as otherwise provided under this Loan Agreement and the Trust Indenture. The obligations of the Authority hereunder shall not be deemed to constitute an indebtedness or an obligation of the Authority, the State of Illinois or any political subdivision thereof within the purview of any constitutional limitation **or** statutory provision, or a charge against the credit or general taxing powers, if any, of any of them. The Authority has no taxing power. Neither the Authority nor any member, director, officer, employee or agent of the Authority nor any person executing the Bonds shall be liable personally for the Bonds or be subject to any personal liability or accountability by reason of the issuance of the Bonds. No recourse shall be had for the payment of the principal of, redemption premium, if any, and interest on any of the Bonds or for any claim based thereon or upon any obligation, covenant or agreement contained in the Trust Indenture or this Loan Agreement or the Bond Purchase Agreement against any past, present or future member, officer, agent or employee of the Authority, or any incorporator, member, officer, employee, director or agent or any successor Borrower, as such, either directly or through the Authority or any successor Borrower, under any rule of law or equity, statute or constitution or by the enforcement of any assessment or penalty or otherwise, and all such liability of any such incorporator, member, officer, employee, director, agent or trustee as such is hereby expressly waived and released as a condition of and consideration for the execution of the Trust Indenture or this Loan Agreement and the issuance of the Bonds.

ARTICLE XI

SUPPLEMENTS AND AMENDMENTS TO THIS LOAN AGREEMENT

Section 11.1. *Supplements* and *Amendments* to ***this*** Loan *Agreement.* The Borrower, with the consent of the Authority and the Trustee, may from time to time enter into such supplements and amendments to this Loan Agreement as to them may seem necessary or desirable to effectuate the purposes or intent hereof; provided, however, that no such amendment shall be effective if not adopted in accordance with the terms of the Trust Indenture.

ARTICLE XII

DEFEASANCE

Section 12.1. Defeasance. If the Borrower shall pay and discharge or provide, in a manner satisfactory to the Authority, for the payment and discharge of the whole amount of the principal of, premium, if any, and interest on the Bonds in such manner as to render the Bonds issued under the Trust Indenture no longer outstanding, and shall pay or cause to be paid all other sums payable hereunder and all sums payable under the Trust Indenture, or shall make arrangements satisfactory to the Authority for such payment and discharge, then and in that case all property, rights and interest hereby conveyed or assigned or pledged shall revert to the Borrower, and the estate, right, title and interest of the Authority therein shall thereupon cease, terminate and become void; and this Loan Agreement and the covenants of the Borrower contained herein shall be discharged except as provided in Section 8.1 and Section 9.19 hereof, and the Authority in such case, on demand of the Borrower and at its cost and expense, shall execute and deliver to the Borrower a proper instrument or proper instruments acknowledging the satisfaction and termination of this Loan Agreement and shall convey, assign and transfer or cause to be conveyed, assigned or transferred, and shall deliver or cause to be delivered, to the Borrower, all property, including money, then held by the Authority other than moneys deposited with the Trustee for the payment of the principal of, premium, if any, or interest on the Bonds.

ARTICLE XIII

MISCELLANEOUS PROVISIONS

Section 13.1. Payment of Expenses of Issuance of *Bonds*. The Borrower agrees to be liable and pay for any commitment and other financing costs, recording expenses, trustee's acceptance fees, escrow and title insurance costs, legal fees, bond insurance and rating agency fees, printing expenses and other fees and fair and customary expenses incurred or to be incurred by or on behalf of the Authority in connection with or as an incident to the issuance and sale of the Bonds.

Section 13.2. Loan *Agreement* for Benefit of *Parties Hereto*. Except as provided in Section 7.7, Section 9.5 and Section 9.16 hereof, nothing in this Loan Agreement, express or implied, is intended or shall be construed to confer upon, or to give to, any person other than the parties hereto, any right, remedy or claim under or by reason of this Loan Agreement or any covenant, condition or stipulation hereof; and the covenants, stipulations and agreements in this

Loan Agreement contained are and shall be for the sole and exclusive benefit of the parties hereto and any of their successors and assigns.

Section 13.3. Severability. In case any one or more of the provisions contained in this Loan Agreement shall be invalid, illegal or unenforceable in any respect, the validity, legality and enforceability of the remaining provisions contained herein and therein shall not in any way be affected or impaired thereby.

Section 13.4. Notices. All notices, certificates or other communications hereunder shall be sufficiently given and shall be deemed given when hand delivered or mailed by first class mail, postage prepaid, with proper address as indicated below. The Authority, the Borrower and the Trustee may, by written notice given by each to the others, designate any address or addresses to which notices, certificates or other communications to them shall be sent when required as contemplated by this Loan Agreement. Until otherwise provided by the respective parties, all notices, certificates and communications to each of them shall be addressed as follows:

To the Authority:

Illinois Finance Authority
Two Prudential Plaza
180 N. Stetson Avenue, Suite 2525
Chicago, Illinois 60601
Attention: Chairman

To the Borrower:

North Shore Ice Arena, LLC
c/o Alan B. Roth, Esq.
225 West Wacker Drive, Suite 3000
Chicago, Illinois 60606

To the Trustee:

Amalgamated Bank of Chicago, as Trustee
One West Monroe Street
Chicago, IL. 60603
Attention: Corporate Trust Department

Section 13.5. *Successors and Assigns*. Whenever in this Loan Agreement any of the

parties hereto is named or referred to, the successors and assigns of such party shall be deemed to be included and all the covenants, promises and agreements in this Loan Agreement contained by or on behalf of the Borrower, or by or on behalf of the Authority, shall bind and inure to the benefit of their respective successors and assigns, whether so expressed or not.

Section 13.6. Counterparts. This Loan Agreement is being executed in any number of counterparts, each of which is an original and all of which are identical. Each counterpart of this Loan Agreement is to be deemed an original hereof and all counterparts collectively are to be deemed but one instrument.

Section 13.7. Governing Law. It is the intention of the parties hereto that this Loan Agreement and the rights and obligations of the parties hereunder shall be governed by and construed and enforced in accordance with the laws of the State of Illinois.

Section 13.8. Immunity of Officers, Employees and Members of *the* Authority *and the Borrower*. No recourse shall be had for the payment of the principal of or premium or interest on the Bonds or for any claim based thereon or upon any representation, obligation, covenant or agreement in this Loan Agreement contained against any past, present or future officer, member, employee, director or agent of the Authority or the Borrower, of any successor public or private Borrower thereto, as such, either directly or through the Authority, the Borrower, or, respectively, any successor public or private Borrower thereto under any rule of law or equity, statute or constitution or by the enforcement of any assessment or penalty or otherwise, and all such liability of any such officers, members, employees, directors or agents as such is hereby expressly waived and released as a condition of and consideration for the execution of this Loan Agreement.

[SIGNATURES FOLLOW ON NEXT PAGE]

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SIGNATURE PAGE OF LOAN AGREEMENT

IN WITNESS WHEREOF, the Borrower, the Guarantors and the Authority have caused this Loan Agreement to be executed in their respective corporate names and have caused their respective seals to be hereunto affixed and attested by their duly authorized officers, all as of the date first above written.

NORTH SHORE ICE ARENA, LLC

By:

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Charles O. **Smith,** President

ATTEST:

By:

Secretary

WILMETTE HOCKEY **ASSOCIATION**, **INC.**

By: Cellly O. Suth

Charles **O. Smith,** President

WINNETKA HOCKEY CLUB,
INC.

By:

Eric **R.** Lifvendahl**,** Vice President

ILLINOIS FINANCE **AUTHORITY**

By:

Executive Director

(**SEA**
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SIGNATURE **PAGE OF** LOAN **AGREEMENT**

IN WITNESS WHEREOF**, the** Borrower, the **Guarantors and** the Authority have caused this Loan Agreement to be executed in **their** respective corporate names and have caused their respective **seals** to be hereunto affixed and attested **by their duly** authorized officers**, all as of** the **date first above** written.

ATTEST:

By:

Secretary

NORTH SHORE ICE ARENA,
LLC

By**:**

Charles **O. Smith,** President

WILMETTE **HOCKEY ASSOCIATION, INC.**

By:

Charles O. Smith, President

WINNETKA HOCKEY CLUB, INC.

By:

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Eric R. Lifvendahl, Vice President

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ILLINOIS FINANCE AUTHORITY

By:

Executive Director

(SEAL)

SIGNATURE PAGE OF LOAN AGREEMENT

IN WITNESS WHEREOF, the Borrower, the Guarantors and the Authority have caused this Loan Agreement to be executed in their respective corporate names and have caused their respective seals to be hereunto affixed and attested by their duly authorized officers, all as of the date first above written.

NORTH SHORE ICE ARENA, LLC

By:

Charles O. Smith, President

WILMETTE HOCKEY ASSOCIATION,

INC.

By**:**

Charles O. **Smith,** President

WINNETKA **HOCKEY CLUB, INC.**

By:

Eric R. Lifvendahl, Vice President

AATEST:

(SEAL**)**

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By:

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ILLINOIS FINANCE AUTHORITY

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Executive Director

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EXHIBIT A

PERMITTED ENCUMBRANCES

Taxes and assessments which are a lien on the Real Estate, but which are not yet billed as of January 25, 2008 or are billed but are not yet delinquent, and any assessments not shown on the public record as of January 25, 2008;

Any laws, regulations or ordinances (including, without limitation, zoning, building and environmental matters) as to the use, occupancy, subdivision or improvement of the Real Estate adopted or imposed by any governmental agency;

Matters disclosed by the Survey delivered in connection with the transactions which are evidenced by this instrument, except for encroachments of the improvements onto adjoining properties, easements, set-back lines or right-of-way, other than items otherwise constituting Permitted Encumbrances and other than any landscaping or similar site improvements;

Rights of the public, the State of Illinois and the municipality in and to that part of the Real Estate, if any, taken or used for road purposes; and

5.

Rights of way for drainage tiles, ditches, feeders and laterals, if any.